



Hospitality Market Report

Orange County - CA USA

PREPARED BY



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HOSPITALITY MARKET REPORT

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12 Mo Occupancy	12 Mo ADR	12 Mo RevPAR	12 Mo Supply	12 Mo Demand
73.8%	\$216	\$159	22M	16.2M

Orange County remains driven primarily by leisure-oriented demand. While performance moderated through much of 2025 and exhibited periods of volatility, momentum strengthened toward year-end and continued in 2026, resulting in trailing 12-month RevPAR growth of 6.4% through June.

Submarket dynamics continued to shape overall performance. Coastal destinations such as Newport Beach and Dana Point sustained the highest average daily rates due to their concentration of luxury and upper-upscale properties, while Anaheim remained the county's largest source of room nights and maintained some of the strongest occupancy levels. The Anaheim Convention Center remains a key demand generator, supporting midweek business travel and helping stabilize seasonal demand patterns. Visit Anaheim reported roughly 160 conventions, meetings, and events scheduled for 2025, drawing close to 900,000 attendees and reinforcing the importance of the meetings segment for weekday occupancy.

Signature attractions such as Disneyland, Huntington Beach, and Dana Point continue to anchor visitation, but competition for discretionary travel dollars has intensified. Some domestic travelers have redirected spending toward international trips, cruises, and alternative accommodations, creating incremental pressure on local

hotel demand, particularly outside peak leisure windows.

Looking ahead, Orange County's lodging market is expected to benefit from several long-term demand catalysts. The region's proximity to major global events in Los Angeles, including the 2026 FIFA World Cup and the 2028 Summer Olympics, is expected to generate incremental visitation and spillover lodging demand. At the same time, ongoing tourism investments, most notably Disneyland's DisneylandForward expansion and the \$4 billion redevelopment of the OCVIBE entertainment district near the Honda Center, should further strengthen the region's long-term tourism infrastructure and support sustained growth in hotel demand.

Supply growth remains modest. Currently, just 4 hotels with 750 rooms are under construction, expanding inventory by approximately 1.2% by 2028, limiting near-term competitive pressure.

Investment activity cooled but remained active. A total of 16 hotel transactions totaling \$231 million closed over the past 12 months, under the three-year average of \$345 million. The pullback reflects broader investor caution amid elevated financing costs, measured revenue growth, and lingering uncertainty around the pace of demand recovery.

KEY INDICATORS

Class	Rooms	12 Mo Occ	12 Mo ADR	12 Mo RevPAR	12 Mo Delivered	Under Construction
Luxury & Upper Upscale	23,022	74.5%	\$317	\$236	0	496
Upscale & Upper Midscale	23,427	75.2%	\$180	\$136	0	257
Midscale & Economy	13,829	70.0%	\$103	\$72	0	0
Total	60,278	73.8%	\$216	\$159	0	753

Average Trend	Current	3 Mo	YTD	12 Mo	Historical Average	Forecast Average
Occupancy	77.4%	74.8%	73.8%	73.8%	71.2%	75.4%
Occupancy Change	2.1%	3.3%	4.2%	2.0%	11.1%	0.6%
ADR	\$227	\$218	\$216	\$216	\$207	\$227
ADR Change	8.1%	7.8%	6.6%	4.3%	10.4%	1.7%
RevPAR	\$176	\$163	\$159	\$159	\$147	\$171
RevPAR Change	10.4%	11.4%	11.0%	6.4%	22.6%	2.4%

Hotel performance in Orange County strengthened meaningfully entering late 2025 and early 2026, signaling a transition from mid-year softness to a more constructive operating environment. The market posted positive trailing 12-month RevPAR growth of approximately 6.4% through June, but that average masks a clear improvement in momentum in recent months as demand rebuilt, occupancy firmed, and pricing power returned in peak and shoulder periods.

From a demand-mix perspective, the market's recovery has been supported by a gradual normalization of weekday activity following a period of corporate caution earlier in the year. Corporate transient demand, particularly in employment-dense corridors such as Santa Ana, Costa Mesa, and Irvine, has shown signs of stabilization, reinforcing baseline occupancy outside of leisure and event-driven peaks. While corporate travel has not fully returned to pre-pandemic norms, the recent improvement suggests fewer discretionary cutbacks and a rebuilding of routine business travel tied to professional services, healthcare, education, and regional headquarters activity.

Leisure demand remains the market's backbone and continues to provide downside protection. Signature attractions, coastal resort destinations, and the county's drive-to profile underpin consistent weekend and seasonal visitation. Importantly, as discretionary leisure patterns normalized, operators were better positioned to balance occupancy and rate, rather than relying on discounting to stimulate demand during softer periods.

Group demand has emerged as a key contributor to the reacceleration in performance. The Anaheim Convention Center continues to anchor this segment, with conventions, trade shows, and large-scale events driving meaningful compression across the Disneyland and adjacent submarkets. The return of group activity has supported both occupancy and ADR, particularly during event-heavy weeks when availability tightens across the broader region.

Conversations with market participants point to improved booking visibility entering 2026, with fewer last-minute

cancellations and a gradual extension of booking windows. Air service stability at John Wayne Airport and improving regional connectivity have further supported short-stay business travel and group arrivals, enhancing confidence in near-term demand trends.

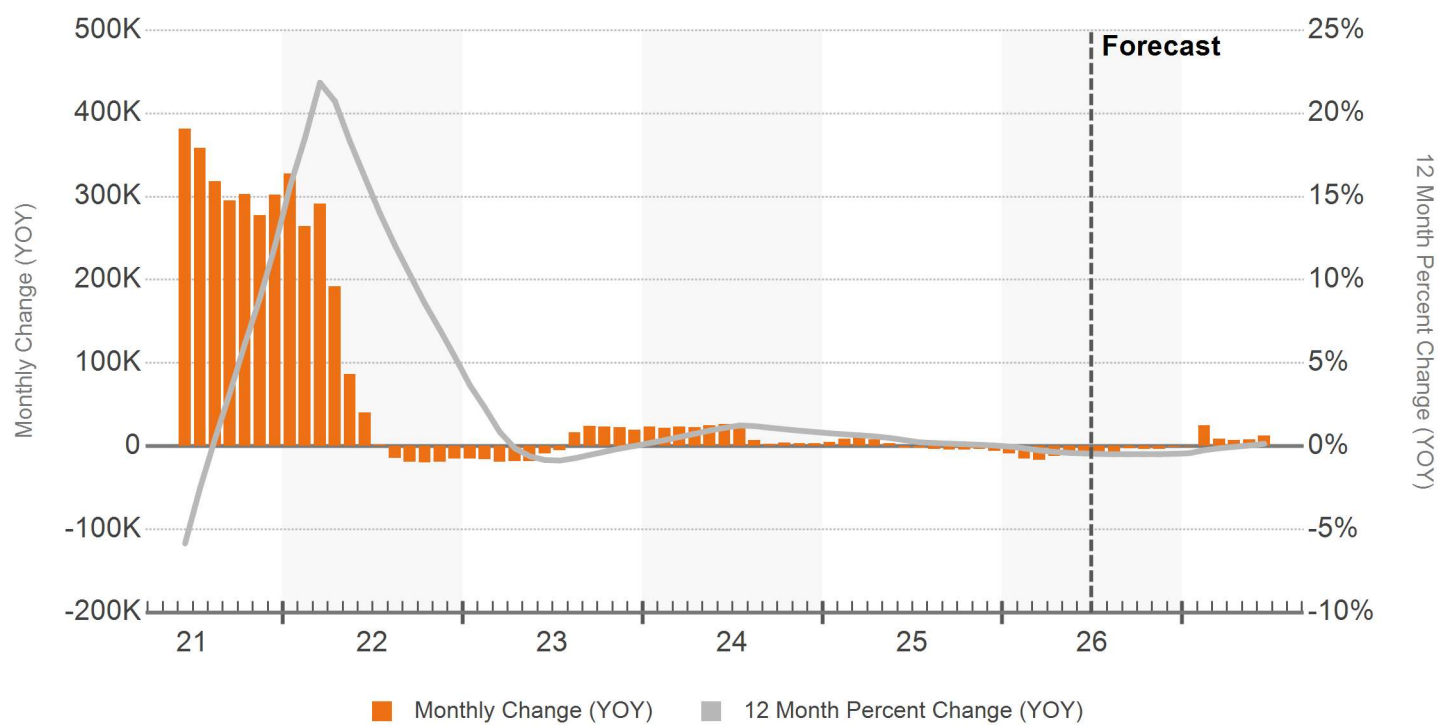
Supply dynamics have reinforced these gains. New deliveries remain limited and concentrated, leading to effective supply contraction at times. With minimal competitive pressure in the near term, improving demand has translated more directly into higher occupancy and stronger revenue performance.

Submarket results continue to diverge. Newport Beach–Dana Point and Disneyland lead the county in pricing power, while Santa Ana–Costa Mesa has benefited from improving corporate and group fundamentals. By contrast, more price-sensitive submarkets lagged earlier in the cycle but are now participating in the broader recovery as demand normalizes.

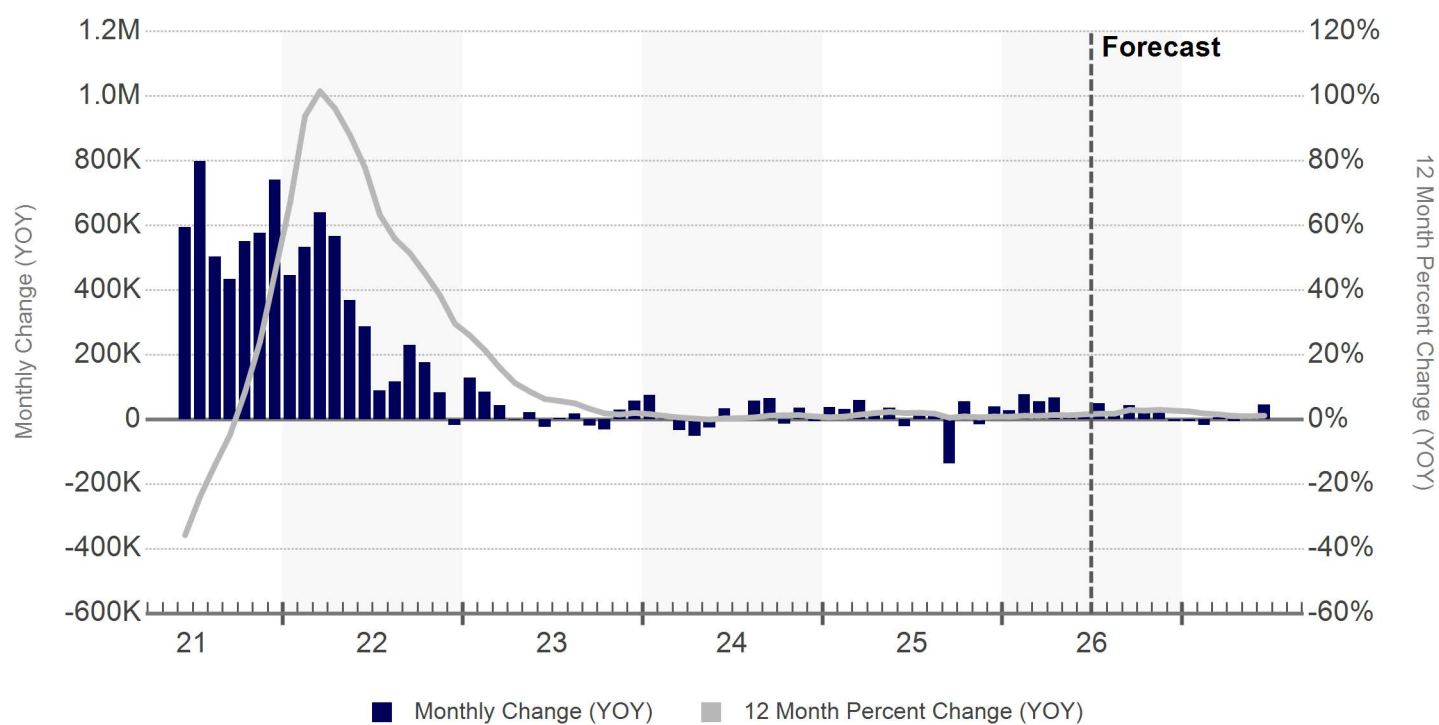
Looking ahead, Orange County's RevPAR is projected to maintain the positive RevPAR momentum, supported in part by its proximity to a series of major global events in Los Angeles, including the recently concluded 2026 FIFA World Cup and the upcoming 2028 Summer Olympics. While matches were centered outside the county, spillover demand from visitors, media, and team operations provided incremental upside.

Longer-term demand prospects are also being reinforced by sustained investment in regional attractions. Disneyland continues to evolve through initiatives such as DisneylandForward, which will introduce a new mixed-use entertainment district combining dining, retail, live performances, and upgraded rides. Nearby, Anaheim's \$4 billion OCVIBE redevelopment adjacent to the Honda Center is progressing through phased openings, with full buildout targeted by 2028. Together, these projects underscore a long-term commitment to tourism infrastructure that should help underpin hotel demand over the next decade.

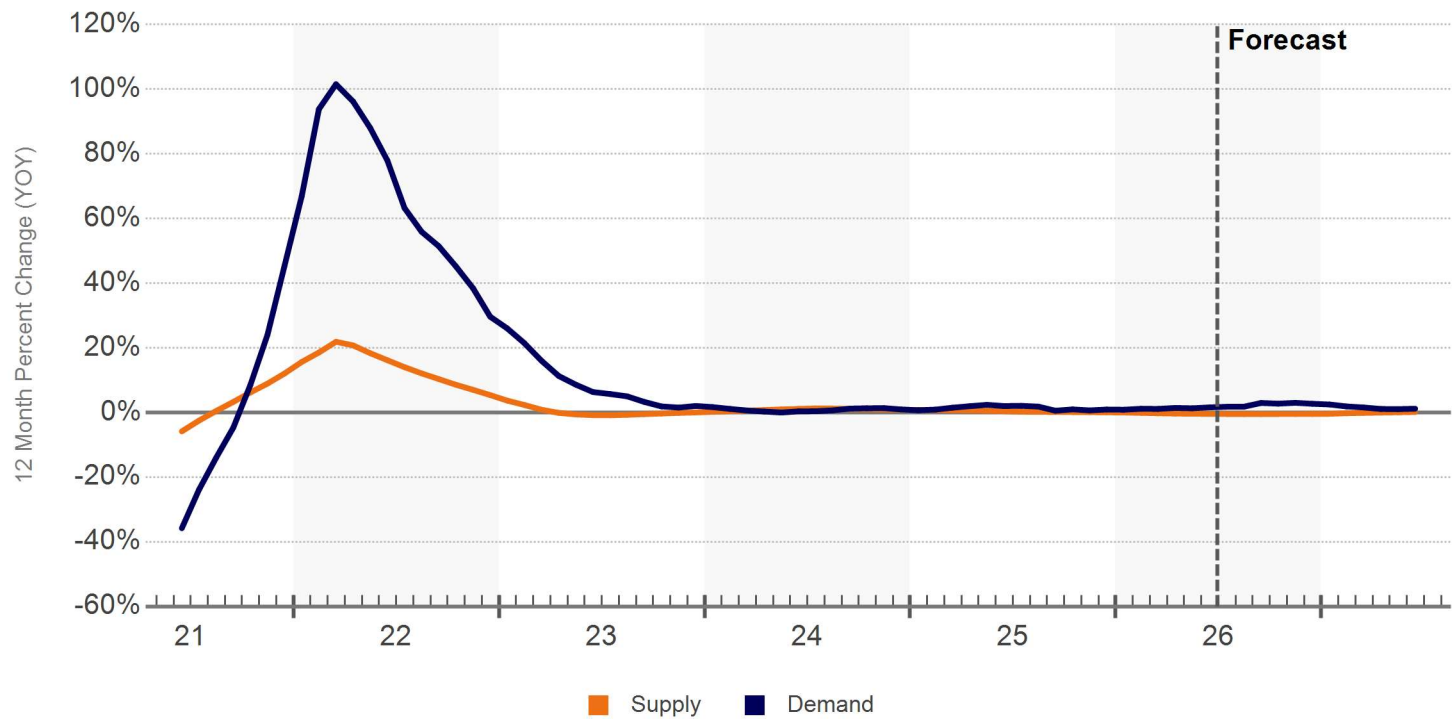
SUPPLY CHANGE



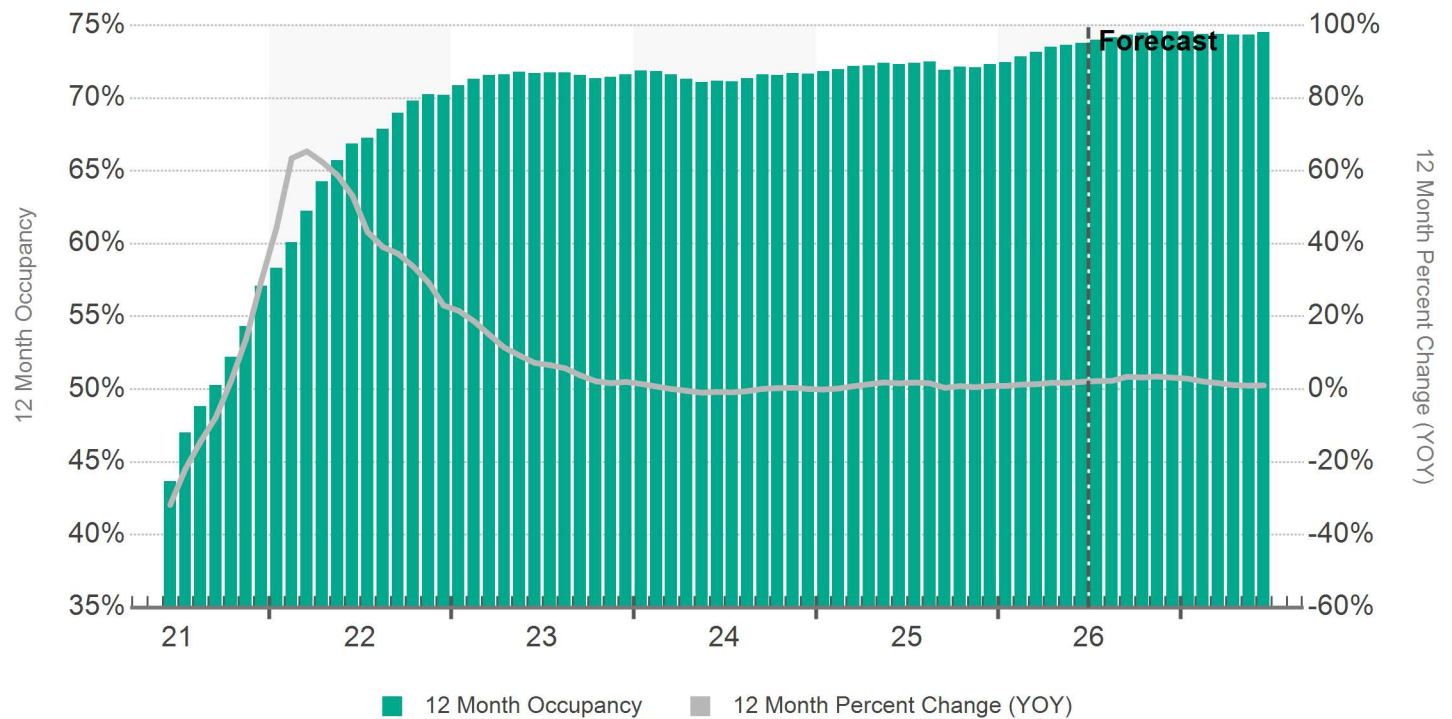
DEMAND CHANGE



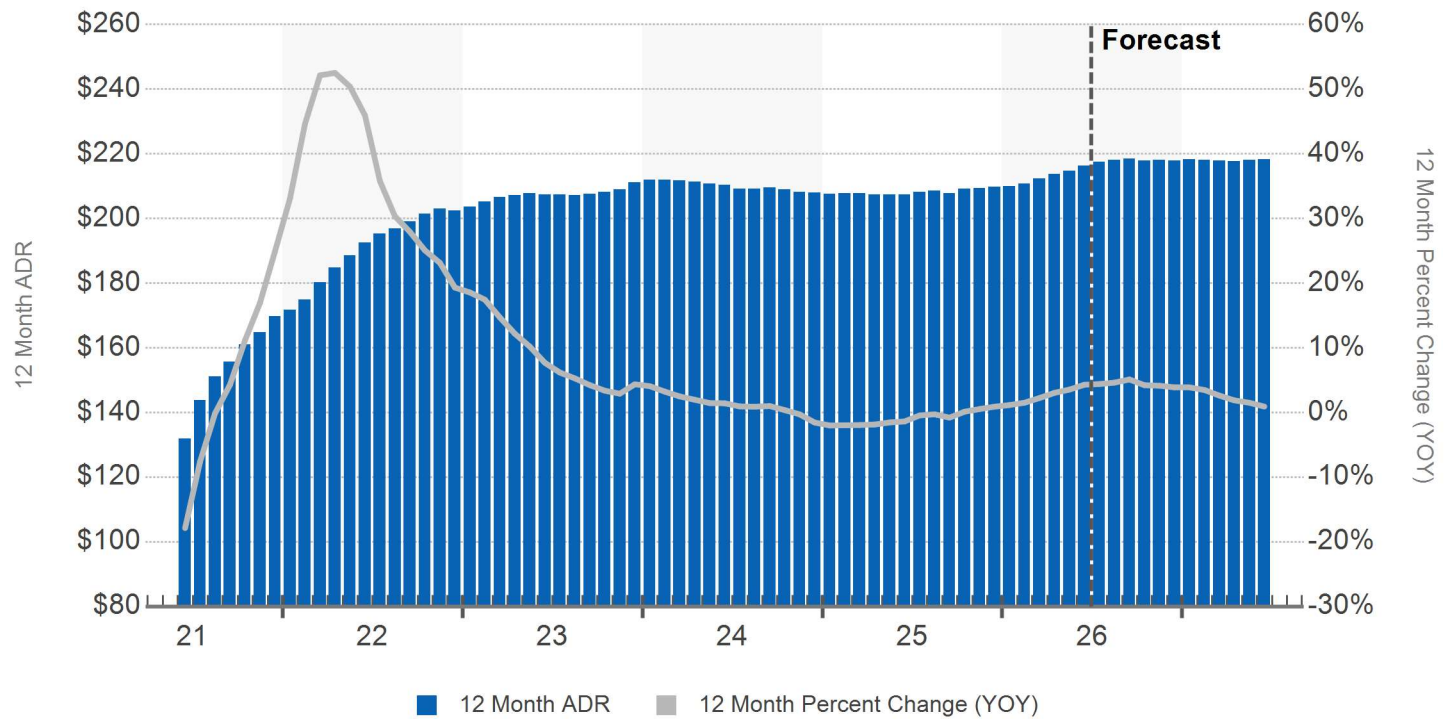
SUPPLY & DEMAND CHANGE



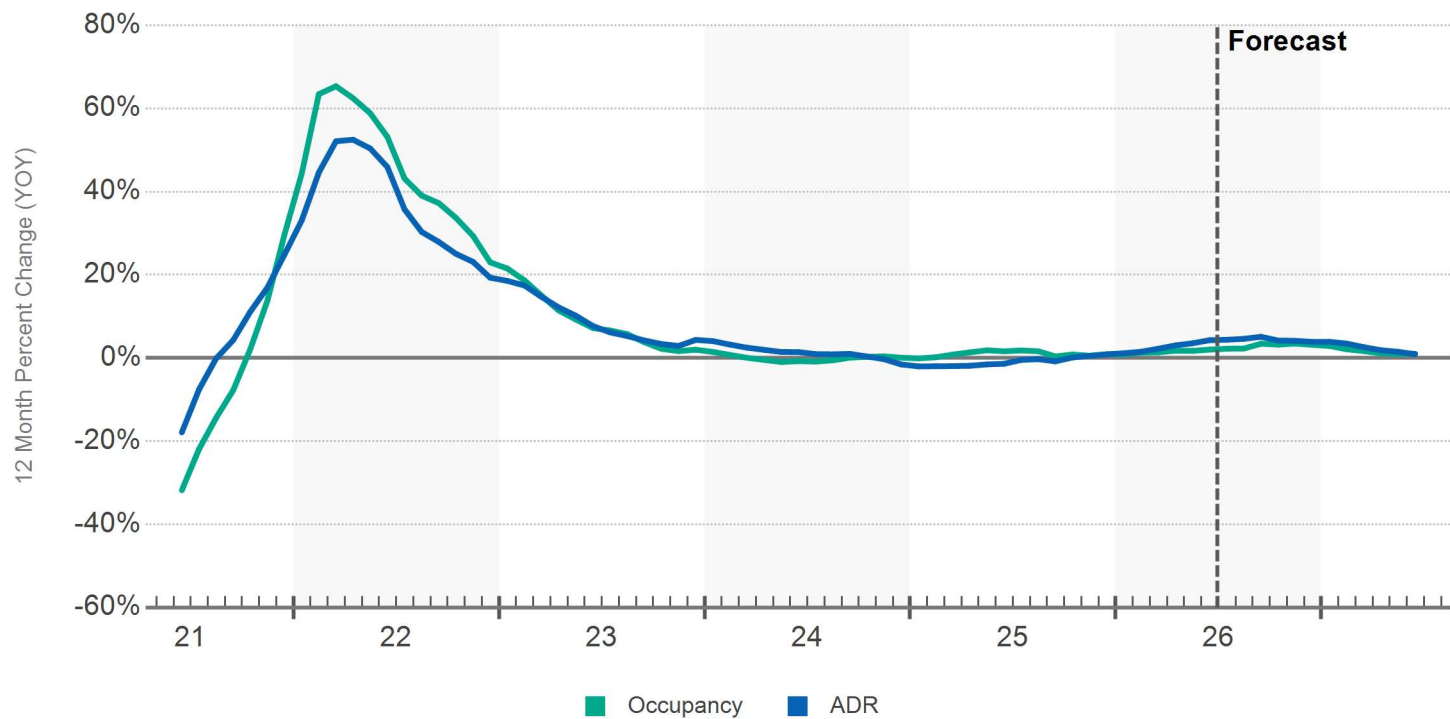
OCCUPANCY



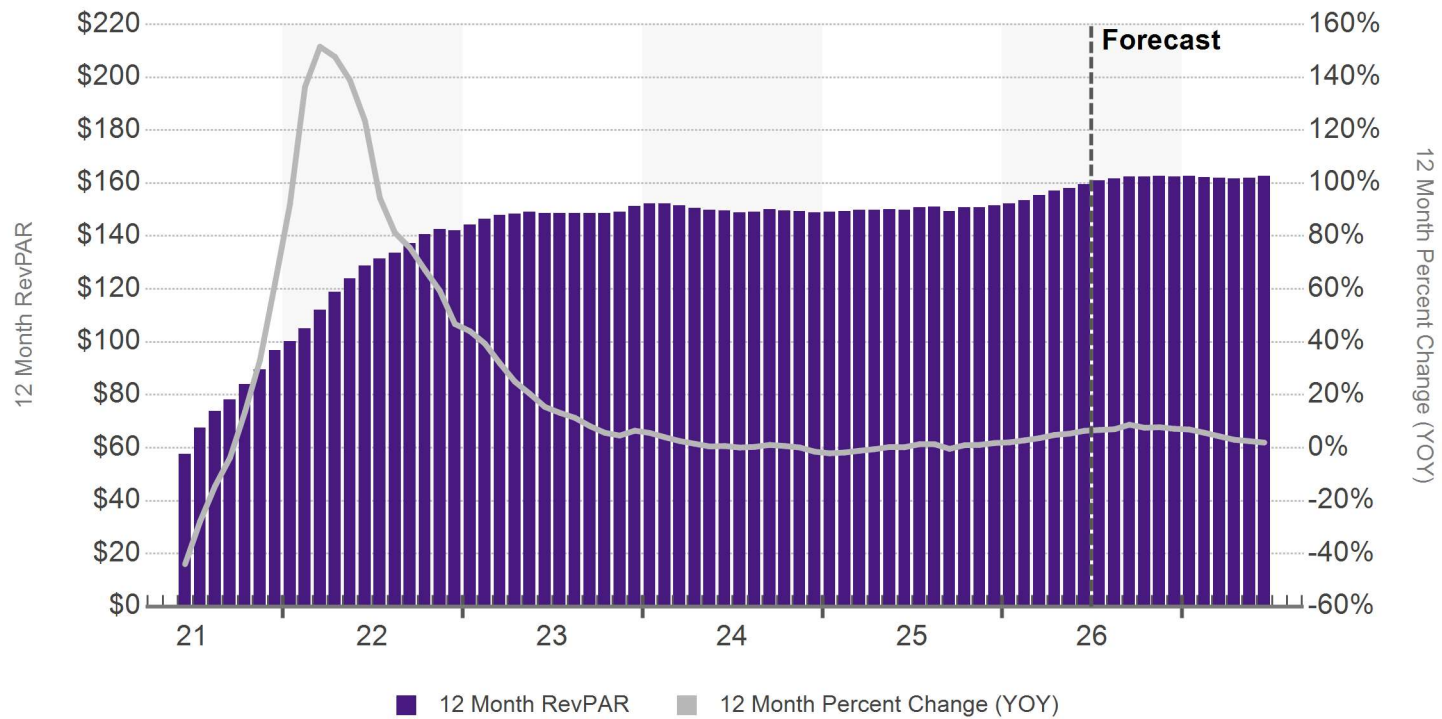
ADR



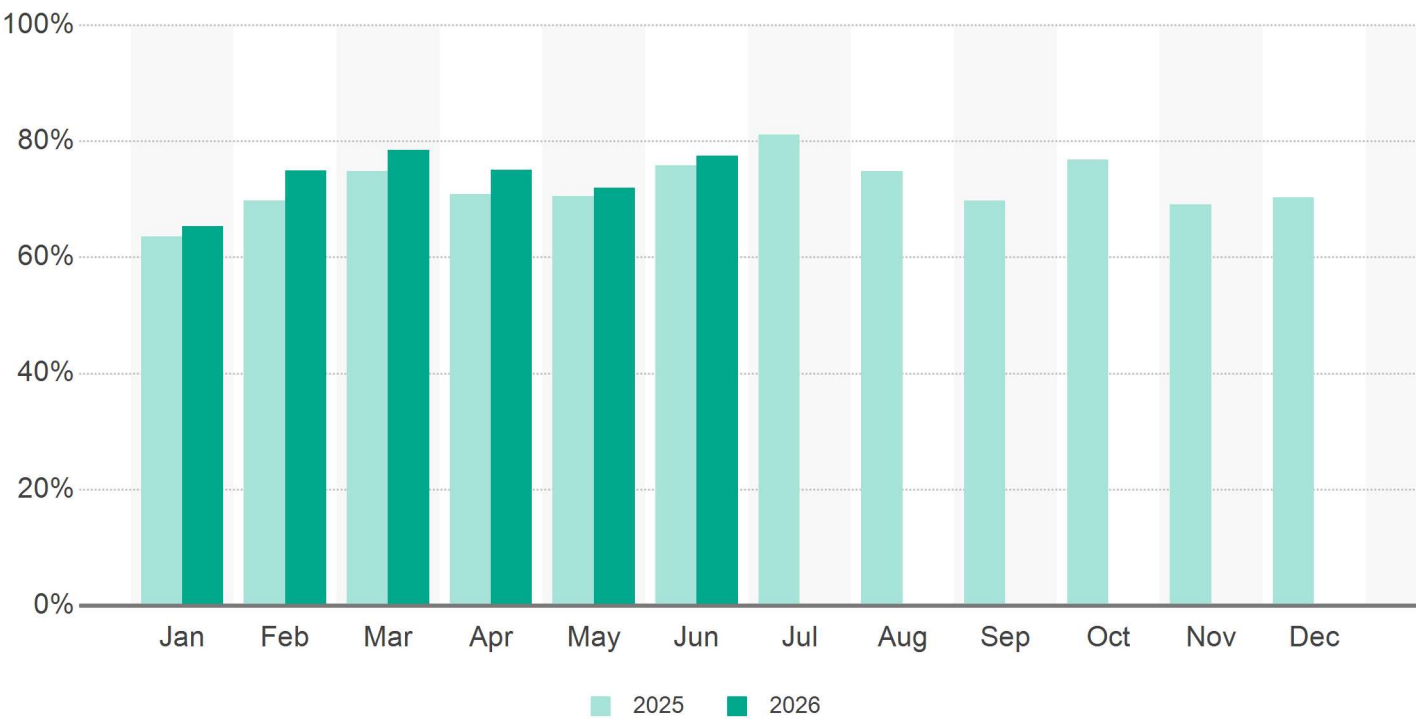
OCCUPANCY & ADR CHANGE



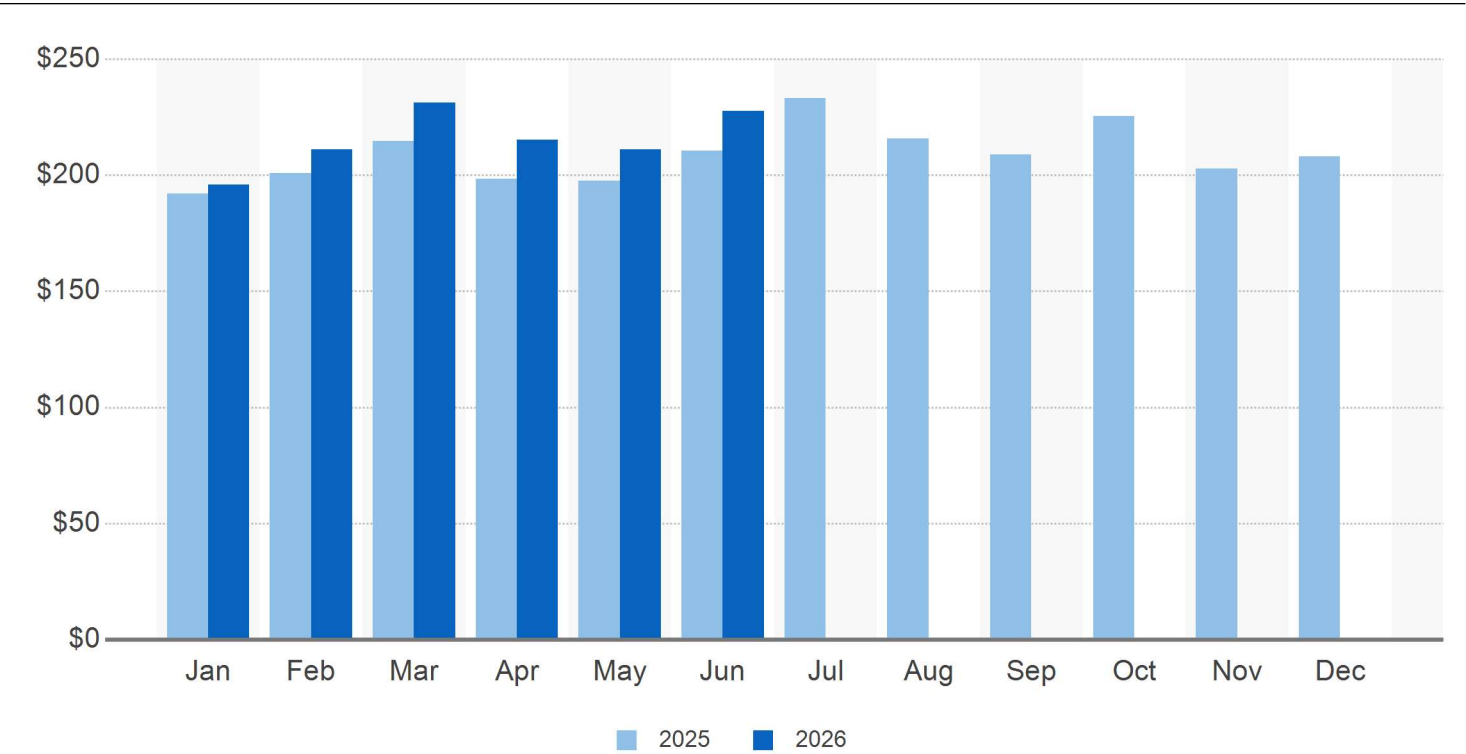
REVPAR



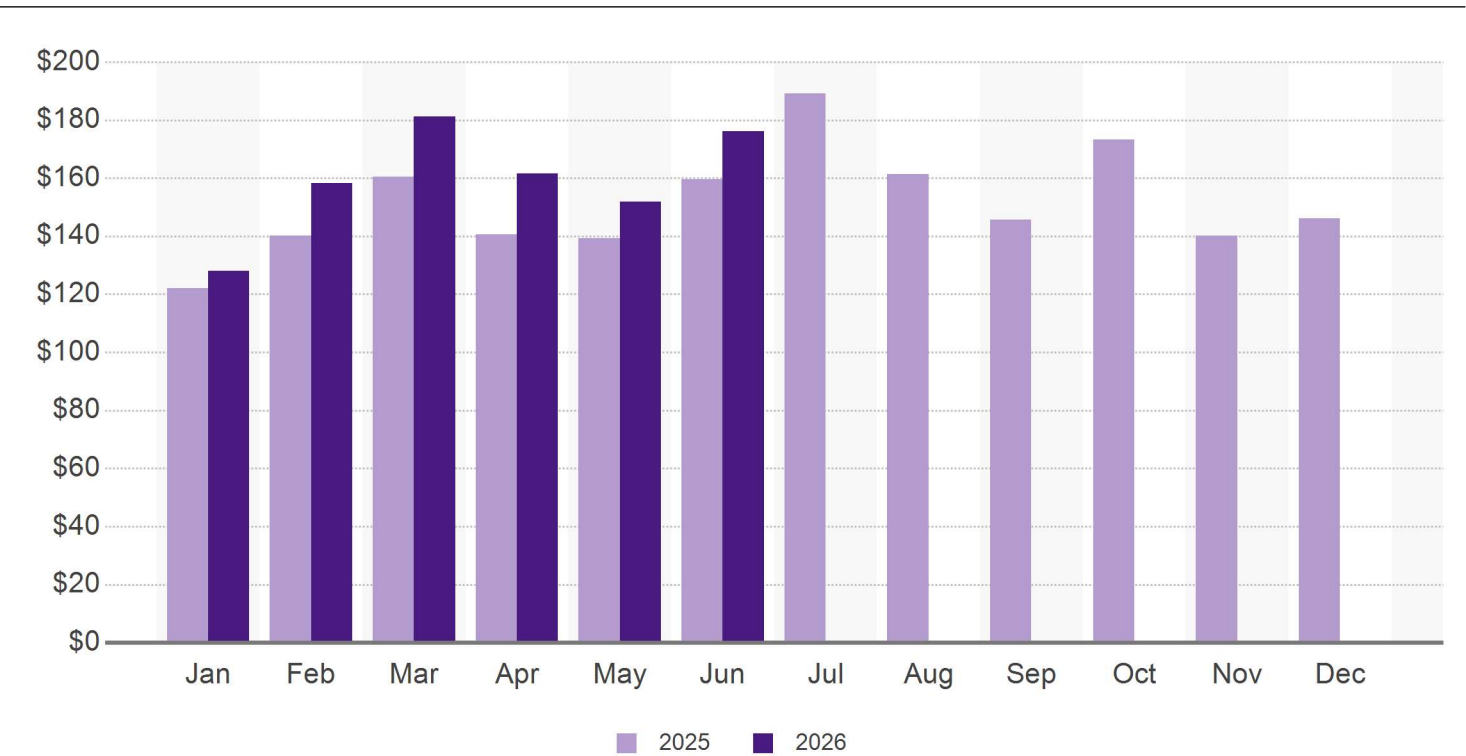
OCCUPANCY MONTHLY



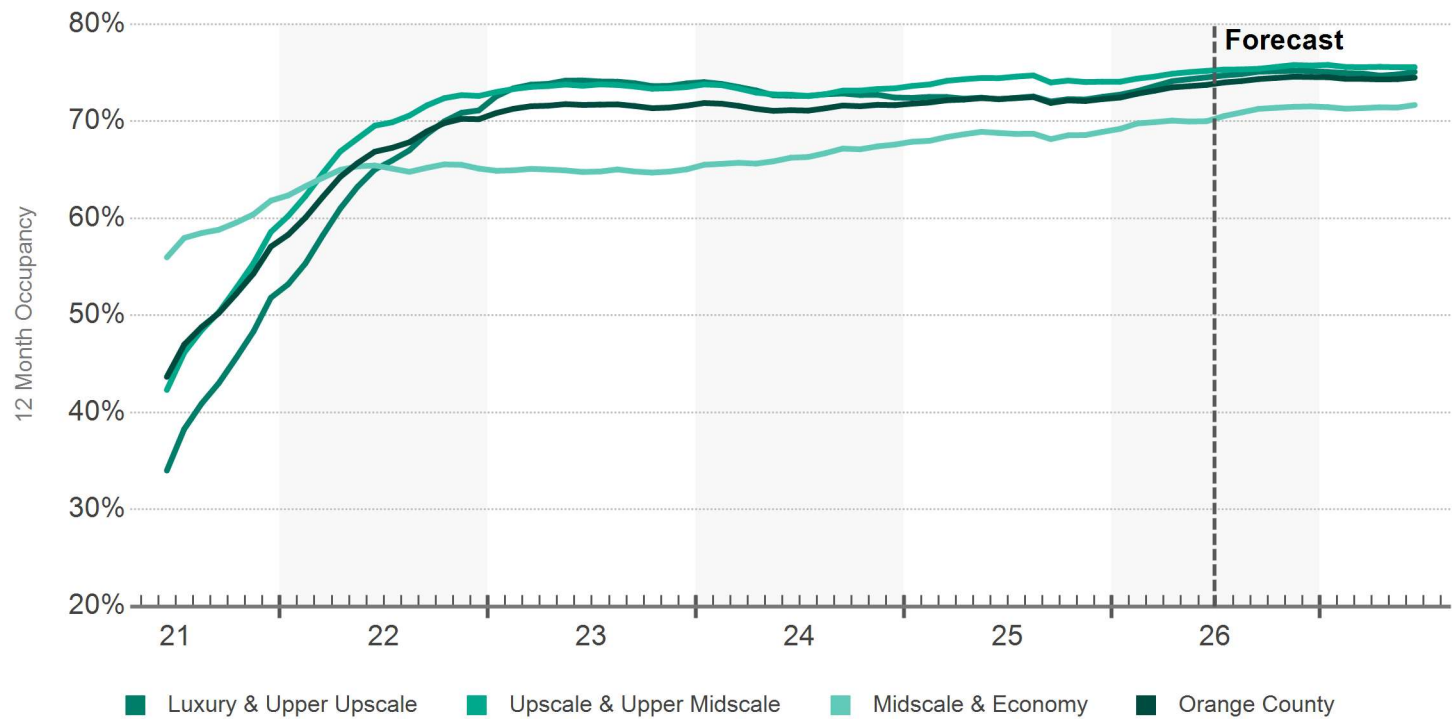
ADR MONTHLY



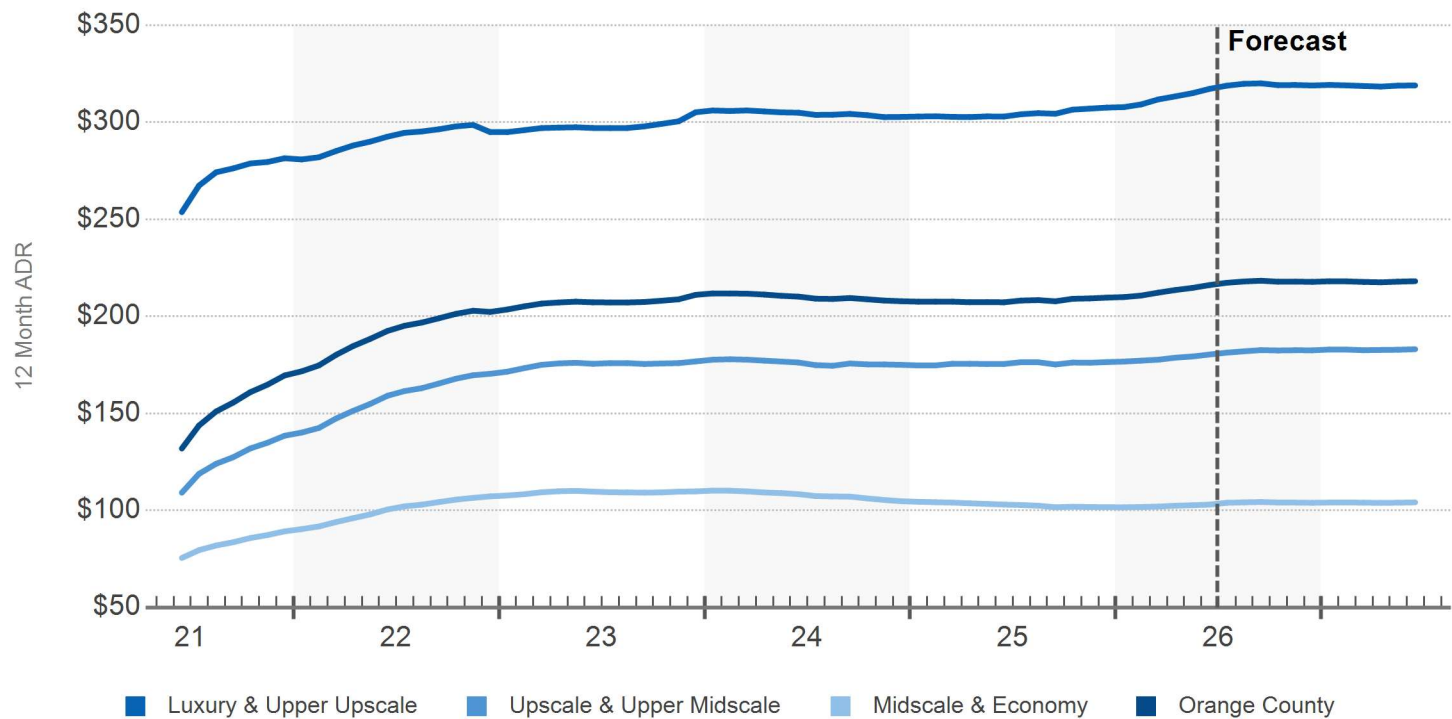
REVPAR MONTHLY



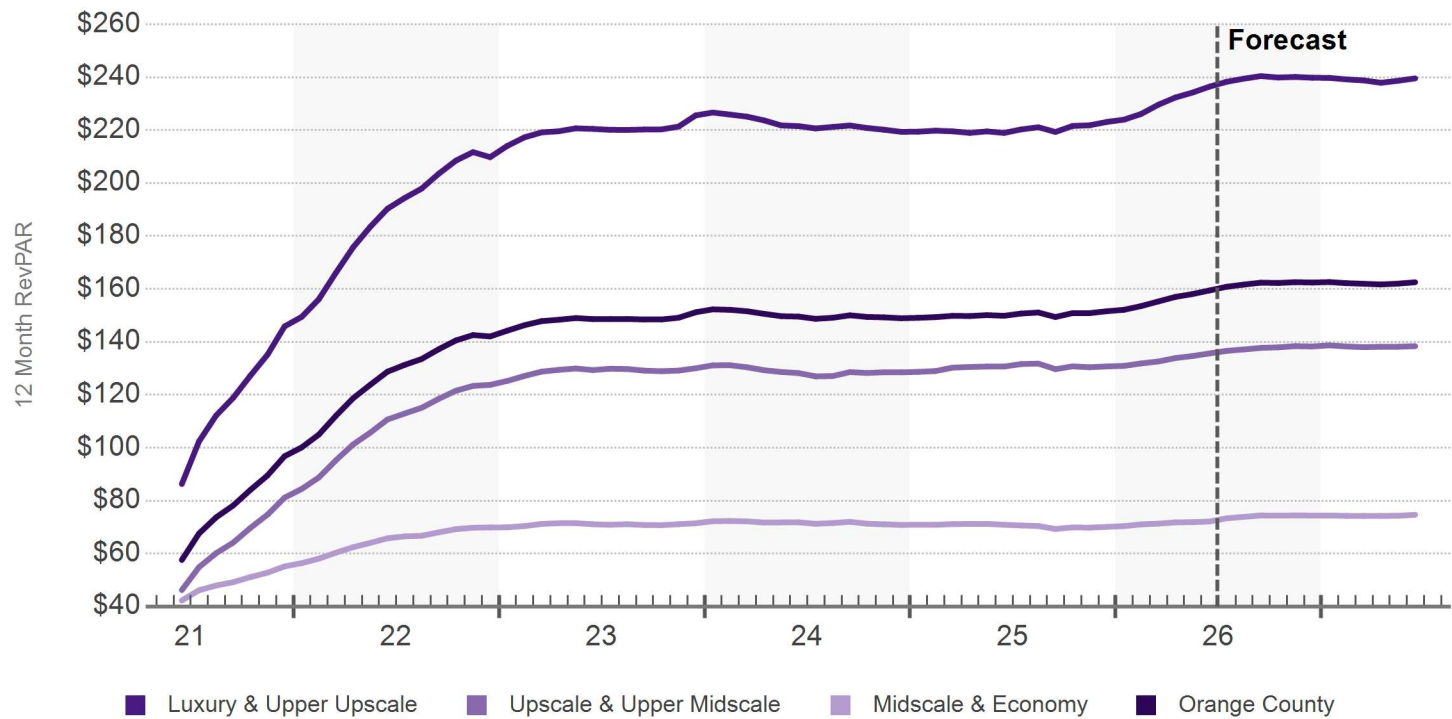
OCCUPANCY BY CLASS



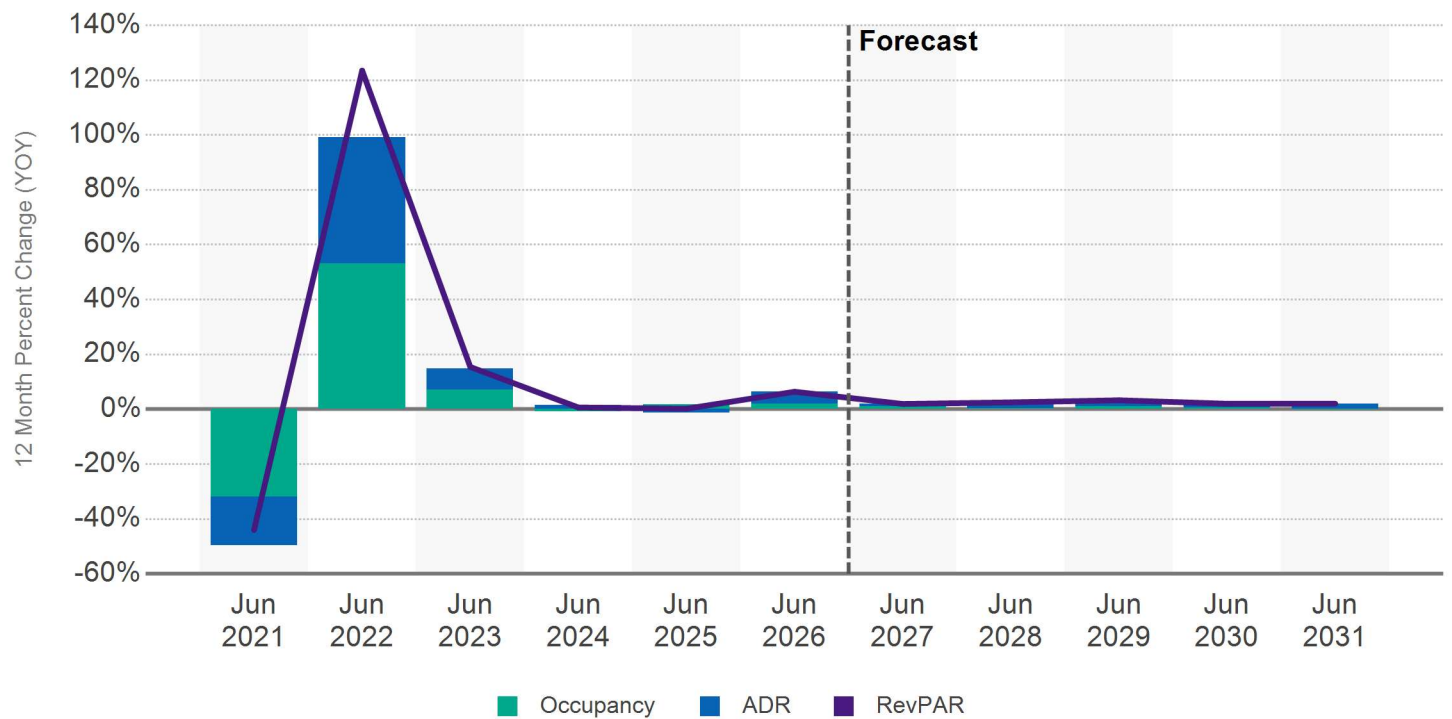
ADR BY CLASS



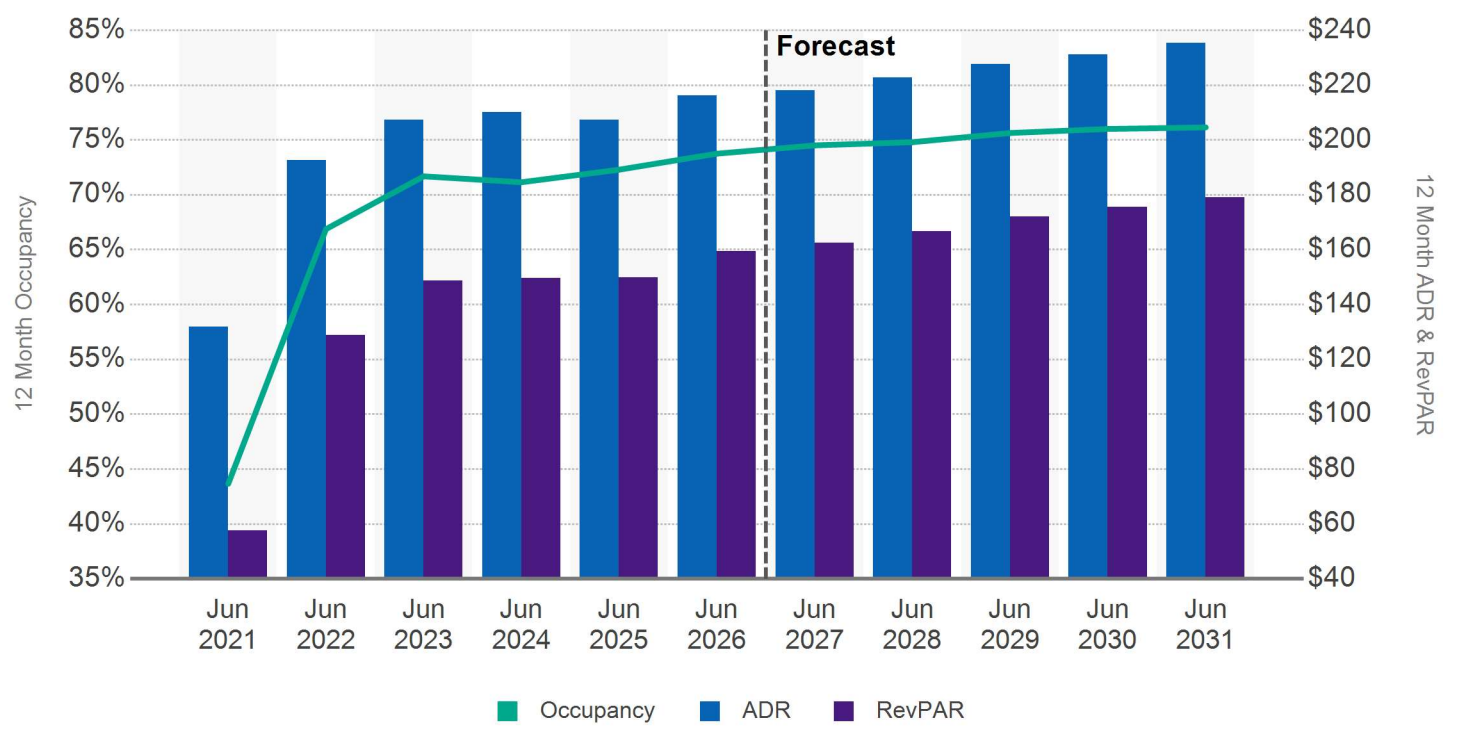
REVPAR BY CLASS



REVPAR GROWTH COMPOSITION



OCCUPANCY, ADR & REVPAR



FULL-SERVICE HOTELS PROFITABILITY (ANNUAL)

Market	2024			2023-2024 % Change	
	% of Revenues	Per Key	POR	Per Key	POR
Revenue					
Rooms	57.5%	\$63,816	\$257.45	-2.4%	0.3%
Food	18.3%	\$20,268	\$81.77	3.6%	6.5%
Beverage	6.1%	\$6,712	\$27.08	-3.6%	-1.0%
Other F&B	8.2%	\$9,144	\$36.89	1.1%	3.8%
Other Departments	5.8%	\$6,451	\$26.02	-1.4%	1.4%
Miscellaneous Income	4.1%	\$4,510	\$18.20	5.3%	8.2%
Total Revenue	100%	\$110,901	\$447.40	-0.8%	1.9%
Operating Expenses					
Rooms	28.7%	\$18,315	\$73.89	4.0%	6.9%
Food & Beverage	69.7%	\$25,167	\$101.53	2.9%	5.8%
Other Departments	62.2%	\$4,010	\$16.18	0.8%	3.5%
Administrative & General	8.2%	\$9,131	\$36.84	4.4%	7.3%
Information & Telecommunication Systems	1.5%	\$1,624	\$6.55	0.5%	3.3%
Sales & Marketing	8.5%	\$9,461	\$38.17	3.6%	6.5%
Property Operations & Maintenance	4.3%	\$4,772	\$19.25	5.9%	8.8%
Utilities	3.0%	\$3,274	\$13.21	-2.9%	-0.3%
Gross Operating Profit	31.7%	\$35,147	\$141.79	-8.4%	-5.9%
Management Fees	3.1%	\$3,428	\$13.83	-0.5%	2.3%
Rent	0.7%	\$754	\$3.04	7.5%	10.4%
Property Taxes	3.2%	\$3,515	\$14.18	0.2%	2.9%
Insurance	1.6%	\$1,739	\$7.01	-1.3%	1.4%
EBITDA	23.2%	\$25,713	\$103.73	-11.2%	-8.8%
Total Labor Costs	39.9%	\$44,289	\$178.67	5.5%	8.4%

(1) For Annual P&L, the current year exchange rate is used for each year going back in time. This current year exchange rate is the average of all 12 monthly rates for that year.

(2) Percentage of Revenues for departmental expenses (Rooms, Food & Beverage, and Other Departments) are based on their respective departmental revenues. All other expense percentages are based on Total Revenue.

(3) Labor costs are already included in the operating expenses above. Amounts shown in Total Labor Costs are for additional detail only.

Hotel construction across Orange County has slowed to one of the lowest levels in recent memory. Currently, only 4 projects totaling roughly 750 rooms remain under active development. The 85-room Fairfield by Marriott Inn & Suites Anaheim Resort is scheduled to open in fall 2026, followed by the 125-room Tribute Portfolio Anaheim Downtown in March 2027, the 172-room Home2 Suites by Hilton Orange County in mid-2027 and the 371-room Kimpton Garden Grove Anaheim in late 2028.

The Kimpton, part of a five-acre mixed-use development by SCG America Group, will incorporate food and beverage and retail components while benefiting from proximity to Disneyland, the Anaheim Convention Center, Angel Stadium, and the Honda Center. The project highlights continued investor confidence in the region's leisure-driven demand base and its concentration of large-scale event generators.

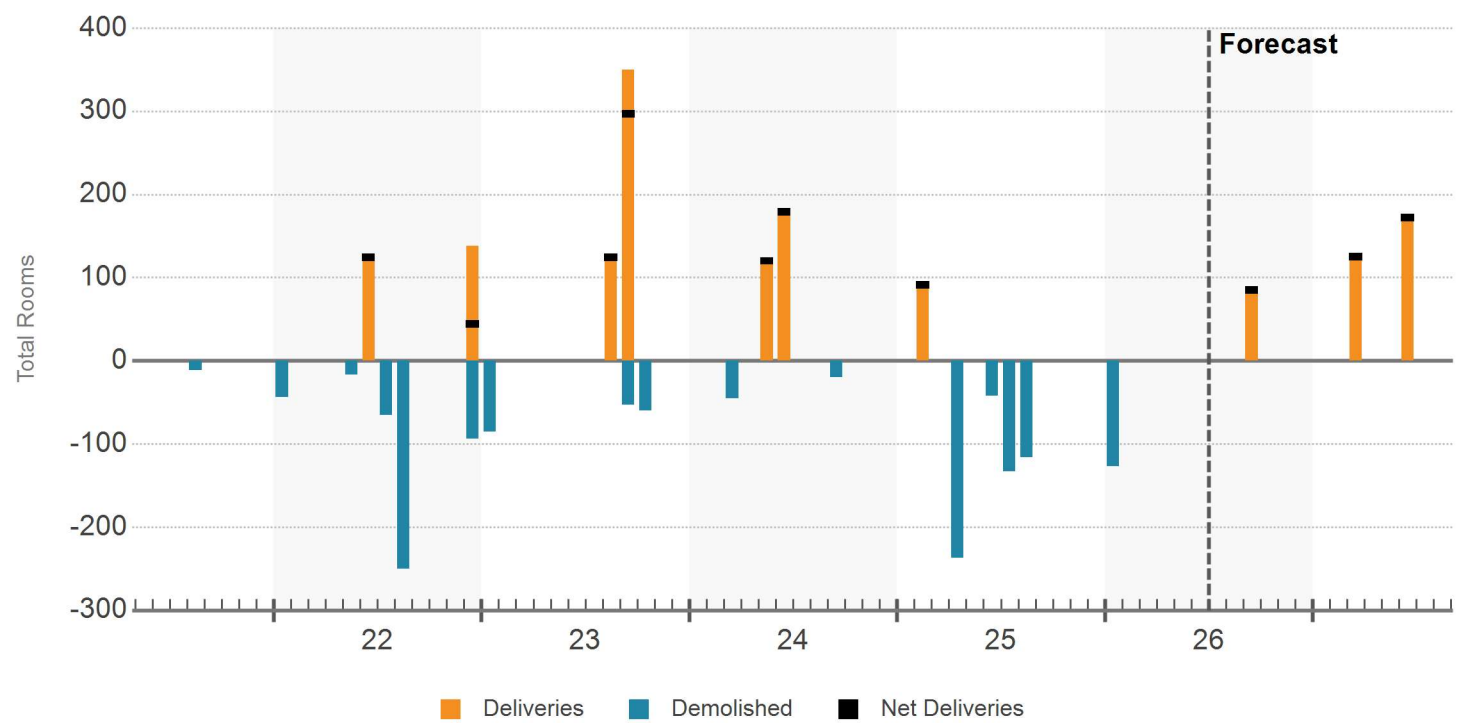
The most recent supply addition was the 91-room La Quinta Inn & Suites in the Northwest/Fullerton submarket, which opened in February 2025. Looking

ahead, development activity remains concentrated along the Disneyland corridor, where several projects are progressing through final planning stages. These include a proposed Le Méridien in Garden Grove, along with multiple AC Hotels planned across Anaheim South, Costa Mesa, and Laguna Hills.

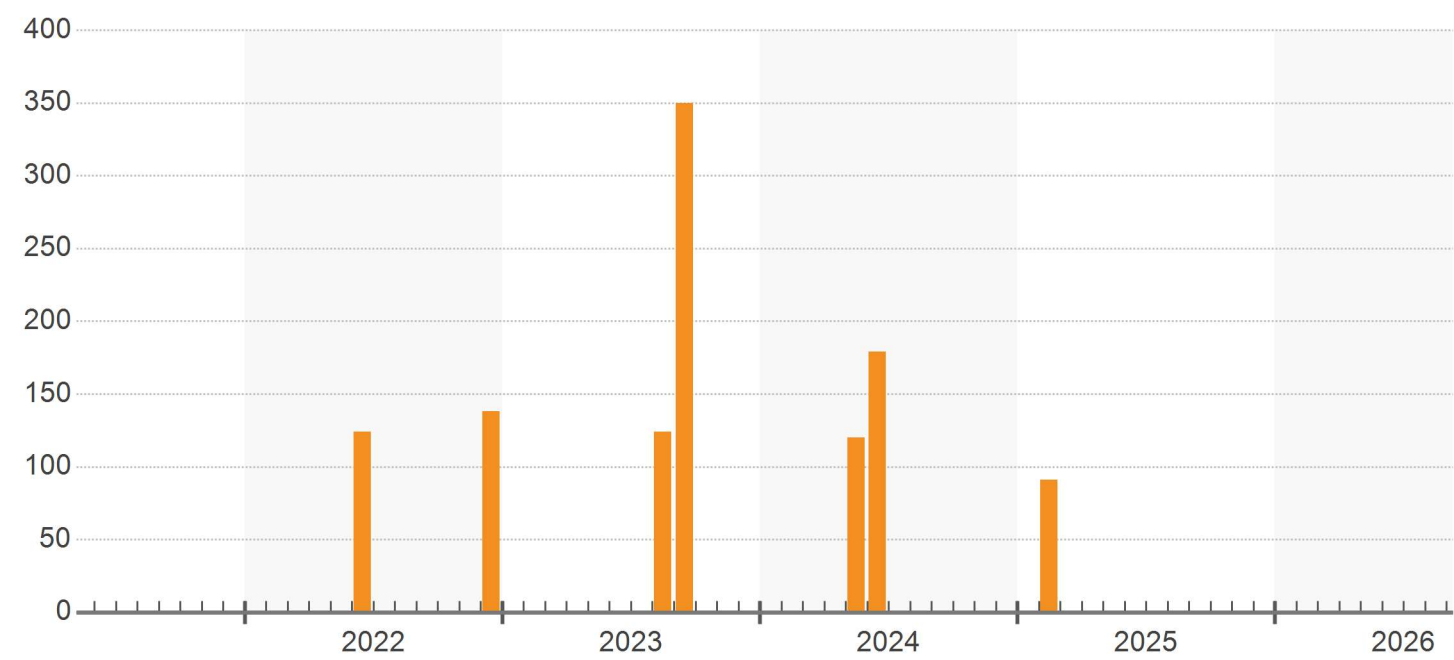
Momentum could build further following Anaheim's approval of the DisneylandForward zoning initiative, which expands flexibility for mixed-use development across the resort district. This framework is expected to support additional hospitality, retail, and entertainment projects over time, reshaping the area's development landscape.

Even with these projects in the pipeline, overall supply growth remains restrained relative to other major California markets, as elevated financing costs and tighter capital conditions continue to limit new development. However, increasing interest along Anaheim's redevelopment corridor suggests construction activity could reaccelerate once capital markets stabilize and economic visibility improves.

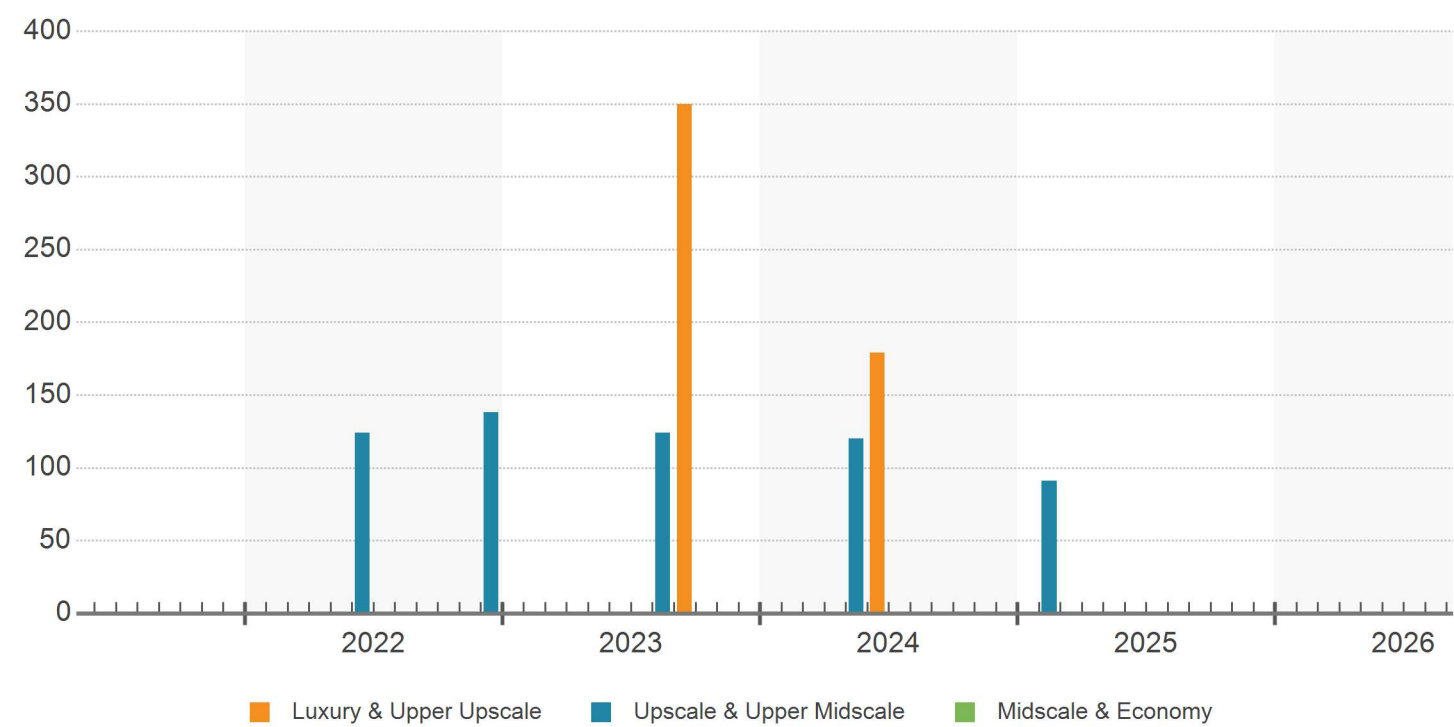
DELIVERIES & DEMOLITIONS



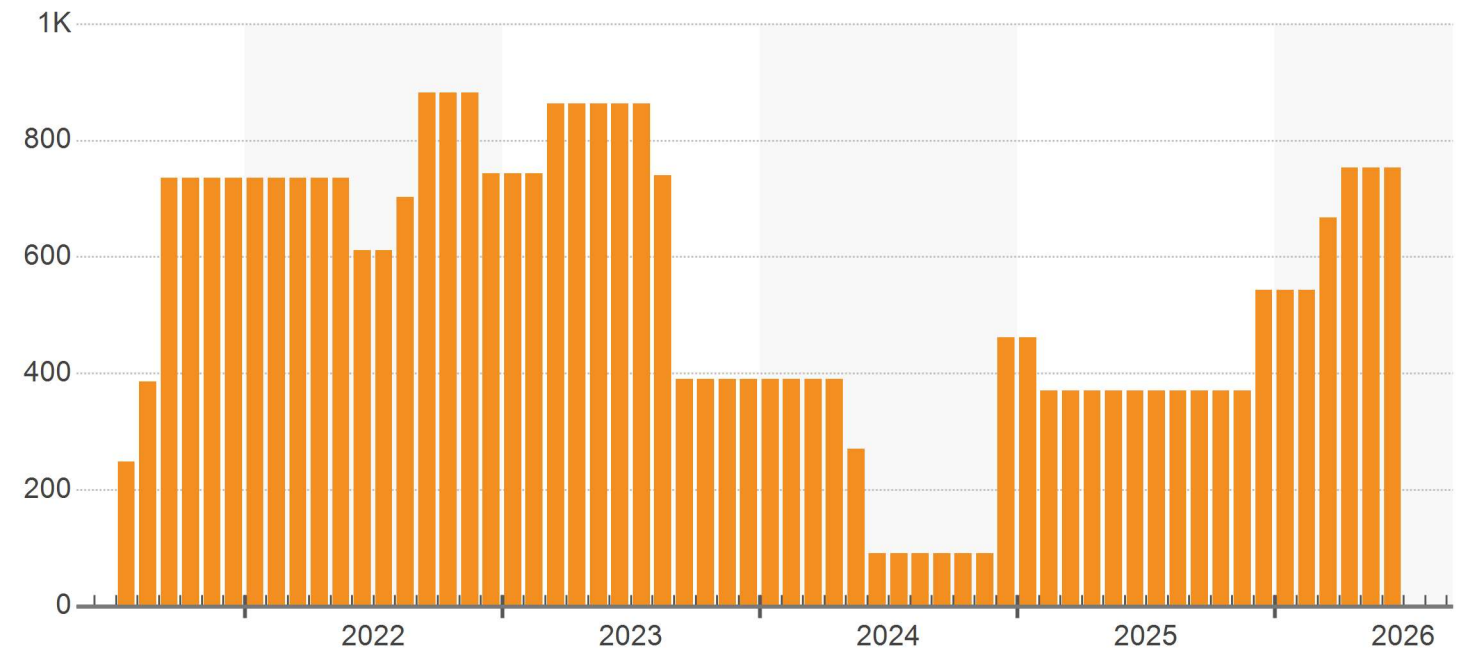
ROOMS DELIVERED



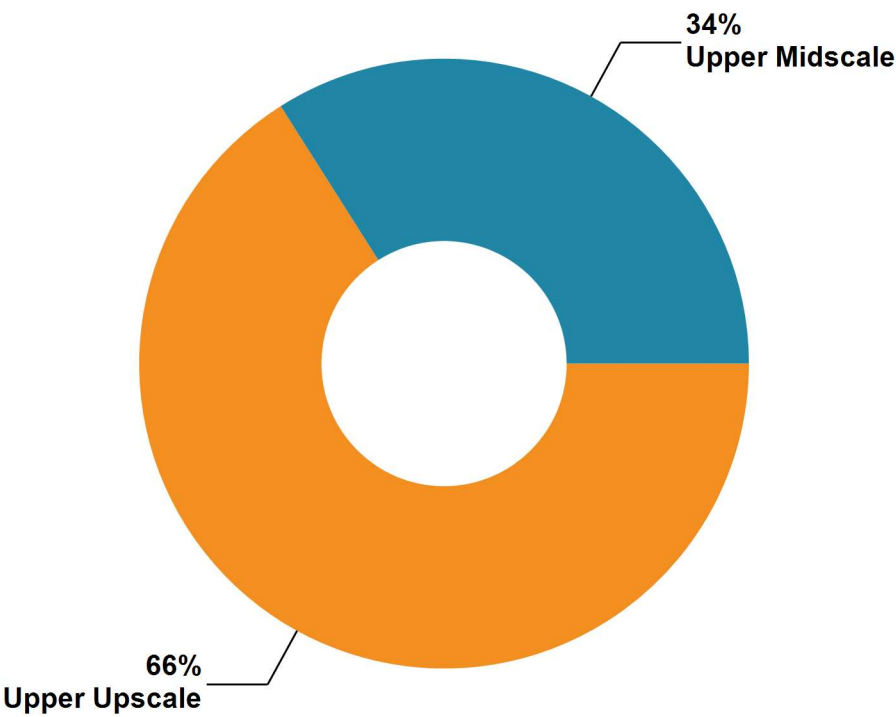
ROOMS DELIVERED BY CLASS



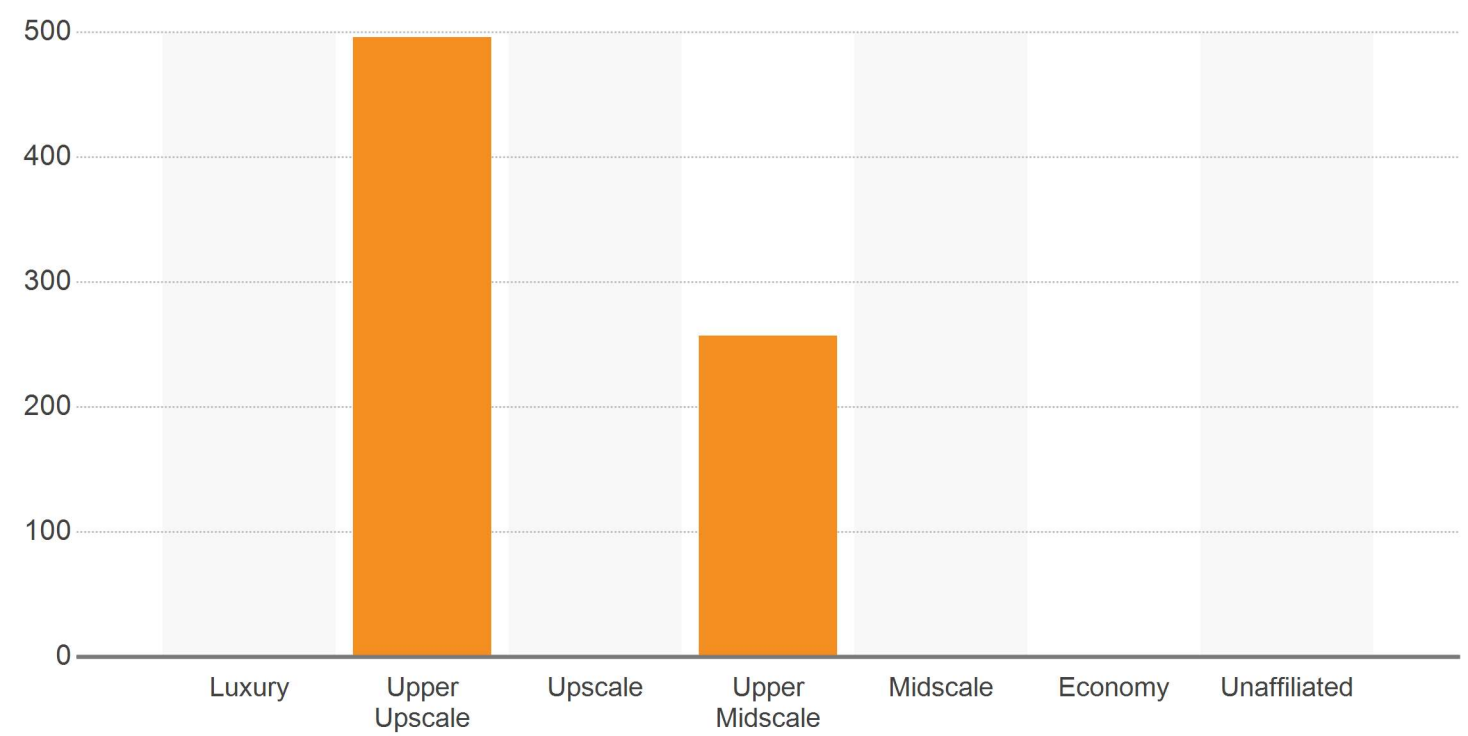
ROOMS UNDER CONSTRUCTION



TOTAL ROOMS UNDER CONSTRUCTION BY SCALE



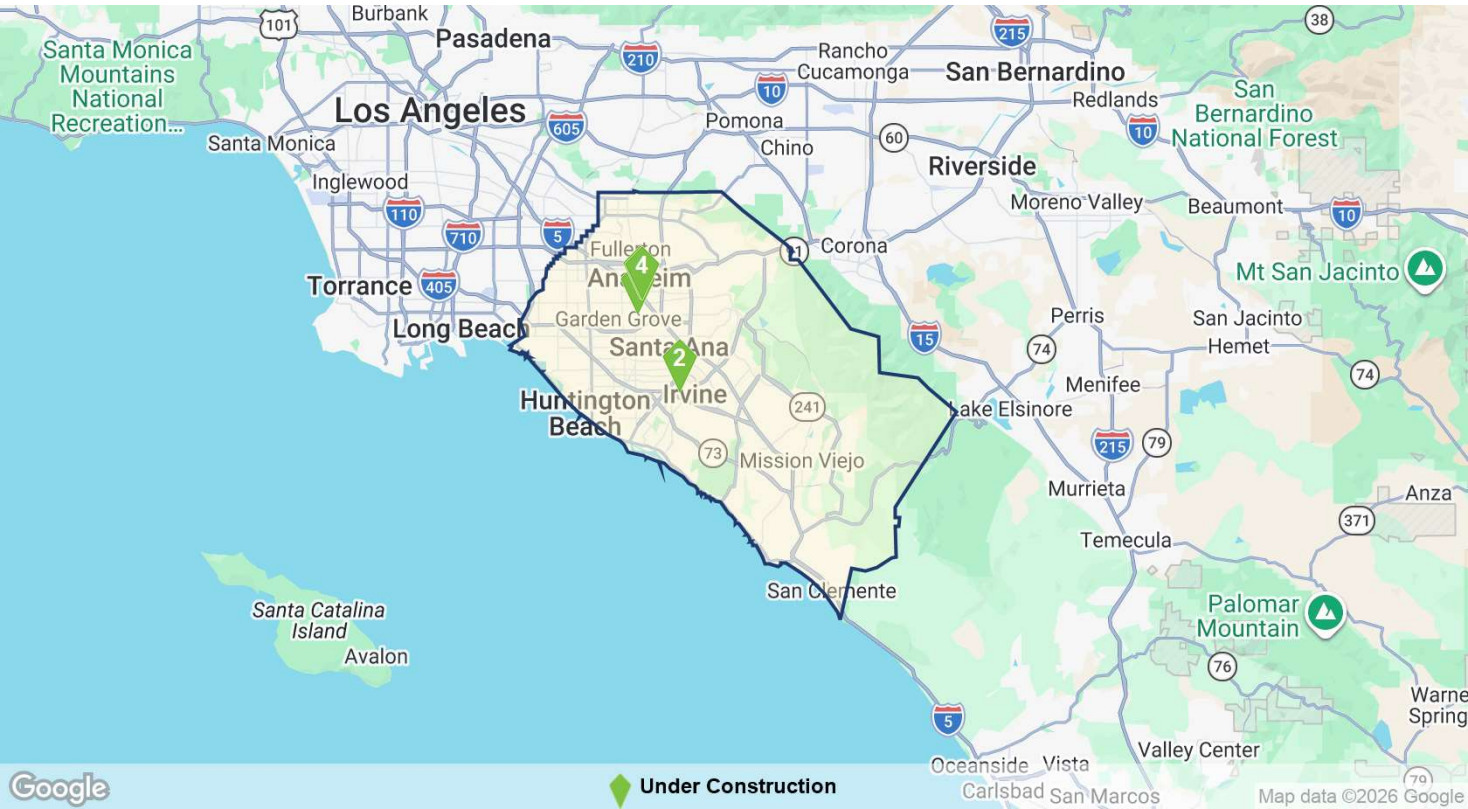
ROOMS UNDER CONSTRUCTION BY SCALE



Under Construction Properties

Properties	Rooms	Percent of Inventory	Average Rooms
4	753	1.3%	188

UNDER CONSTRUCTION PROPERTIES



UNDER CONSTRUCTION

	Property Name/Address	Class	Rooms	Stories	Start	Complete	Brand/Developer
1	Kimpton Garden Grove Anaheim S. Harbor Blvd. & Twintre Blvd	Upper Upscale	371	14	Dec 2024	Sep 2028	Kimpton SCG America
2	Home2 Suites by Hilton Irvine Ora... 17850 Von Karman Ave	Upper Midscale	172	5	Dec 2025	Jun 2027	Home2 Suites by Hilton S3 Hotel Group
3	Tribute Portfolio Anaheim Downtown 1730 S Clementine St	Upper Upscale	125	6	Mar 2026	Mar 2027	Tribute Portfolio JB Hotel Group
4	Fairfield by Marriott Inn & Suites A... 101 E Katella Ave	Upper Midscale	85	12	Apr 2026	Sep 2026	Fairfield Inn Nexus Development Corporation

After rebounding in 2024, hotel investment across Orange County cooled again in 2025 and 2026 as higher borrowing costs and persistent valuation gaps weighed on deal flow. Over the past year, 16 hotels traded for a combined \$231 million, below the three-year average of \$345 million but broadly in line with national transaction trends.

Recent activity skewed toward smaller midscale, upper-midscale, and independent properties, with most transactions completed by private buyers rather than institutional capital. Pricing and deal velocity reflected a bifurcated environment, where well-located coastal and resort assets continued to command premium valuations, while suburban and extended-stay properties traded at more moderate levels.

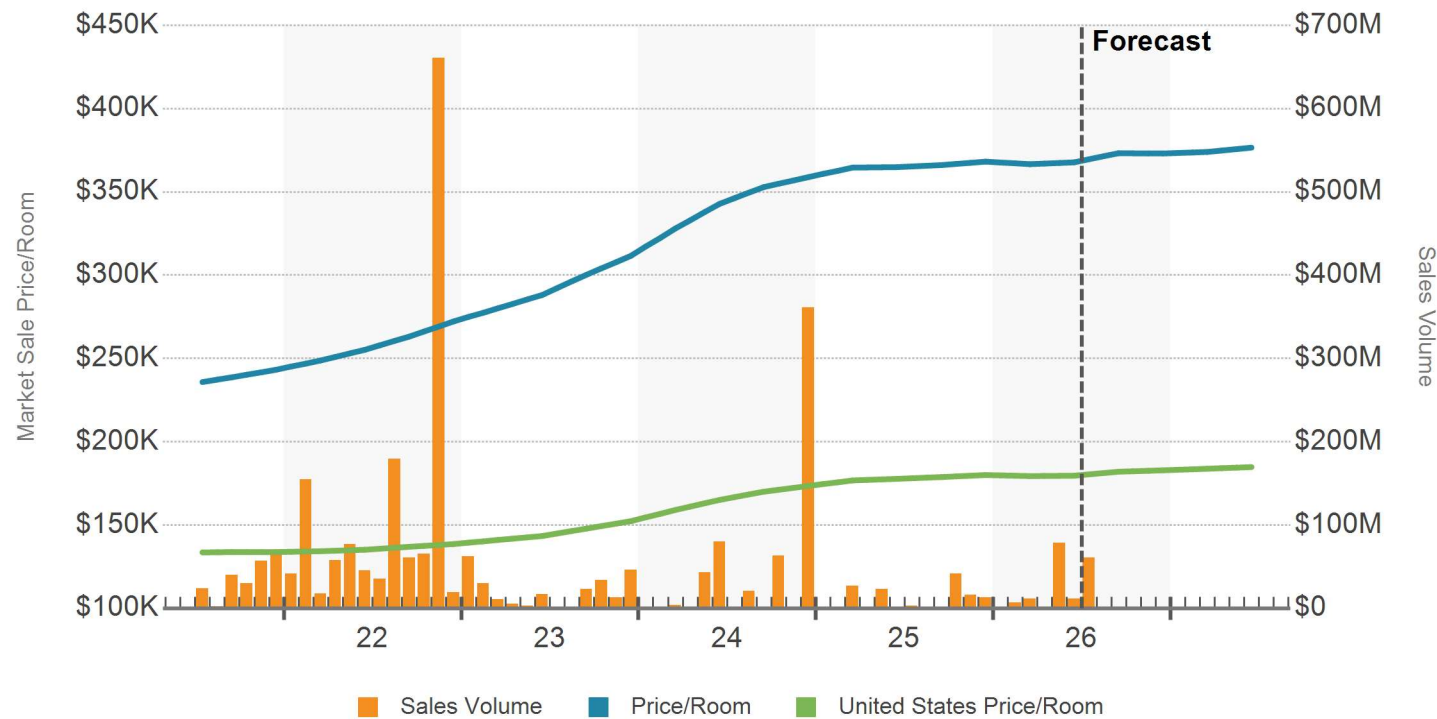
The most significant transaction closed in May 2026, when the 352-room Anaheim Resort Suites, which is under a ground lease, sold for \$78.75 million, or \$223,722 per key. In early 2026, the hotel dropped its national chain loyalty program with Choice Hotels under the Cambria Hotel & Suites brand and rebranded as Anaheim Suites Hotel. The hotel is known for its large recreation water park, pool area, and suite-style rooms.

In late 2025, several Sonesta-branded extended-stay and select-service properties traded as part of portfolio transactions involving Service Properties Trust, generally at pricing below \$130,000 per key. These deals reflect growing interest from buyers focused on yield and operational stability rather than near-term appreciation.

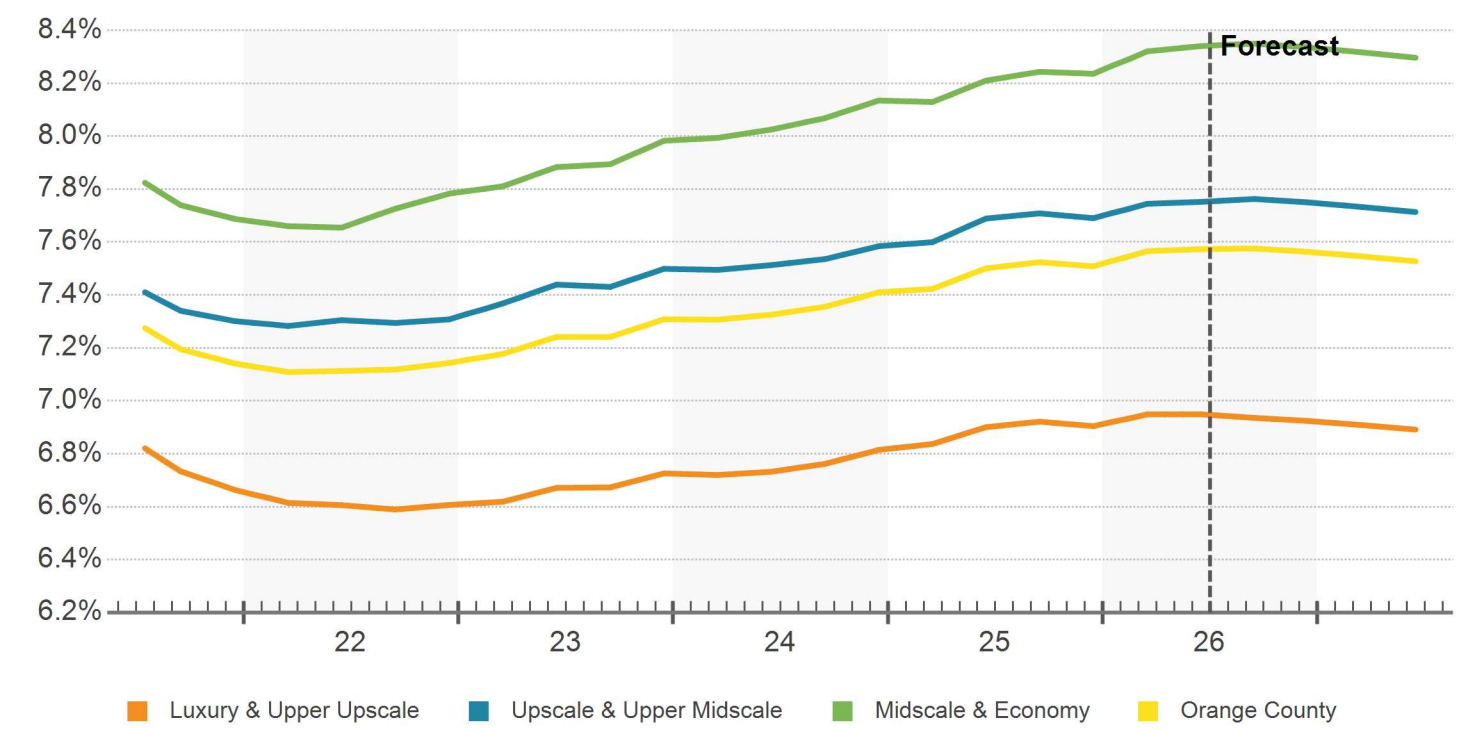
Resort-oriented submarkets such as Newport Beach, Dana Point, and Laguna Beach continued to capture a disproportionate share of total dollar volume, supported by limited supply and strong leisure fundamentals. In contrast, Anaheim remained relatively quiet outside of the marquee portfolio sale, reflecting its concentration of larger, higher-priced assets and wider bid-ask spreads.

Looking ahead, transaction momentum is expected to remain measured through 2026 with sales driven by refinancing risks amidst elevated borrowing costs, and ongoing brand-mandated capital programs. While many investors remain cautious, Orange County's durable leisure appeal, coastal scarcity, and proximity to global attractions continue to attract patient capital focused on long-term value creation rather than short-term trading.

SALES VOLUME & MARKET SALE PRICE PER ROOM



MARKET CAP RATE



Sales Past 12 Months

Orange County Hospitality

Sale Comparables

Average Price/Room

Average Price

Average Cap Rate

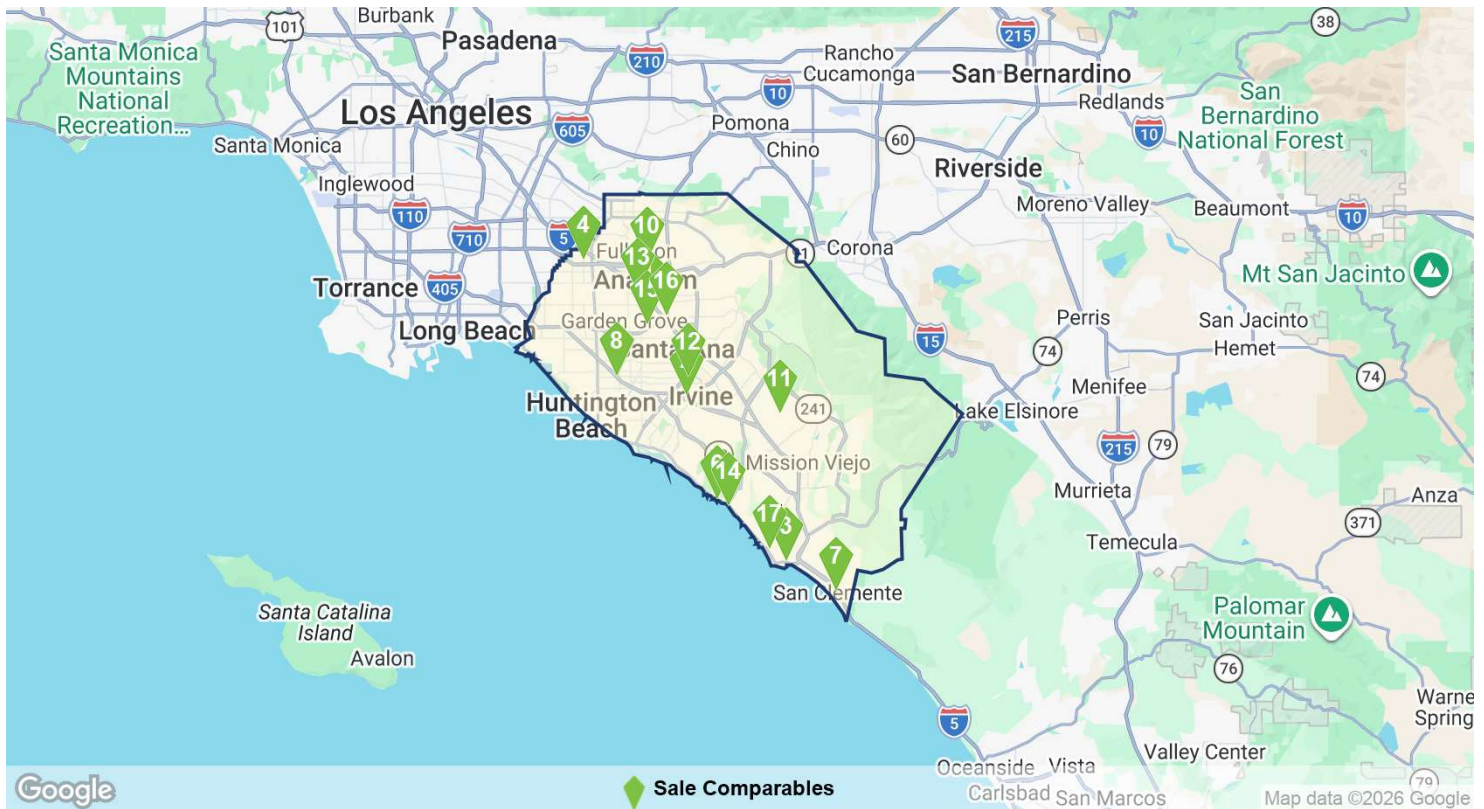
17

\$149K

\$14.8M

5.0%

SALE COMPARABLE LOCATIONS



SALE COMPARABLES SUMMARY STATISTICS

Sale Attributes	Low	Average	Median	High
Sale Price	\$2,900,000	\$14,817,250	\$6,705,013	\$78,750,000
Price/Room	\$33,947	\$148,637	\$130,000	\$518,182
Cap Rate	5.0%	5.0%	5.0%	5.0%
Time Since Sale in Months	0.9	5.8	6.9	11.9
Property Attributes	Low	Average	Median	High
Property Size in Rooms	14	107	100	352
Number of Floors	1	3	3	12
Total Meeting Space	270	3,515	3,515	22,619
Year Built	1930	1984	1989	2019
Class	Economy	Upper Midscale	Midscale	Luxury

Sales Past 12 Months

Orange County Hospitality

RECENT SIGNIFICANT SALES

	Property Name/Address	Property Information				Sale Information		
		Class	Yr Built	Rooms	Brand	Sale Date	Price	Price/Room
1	Anaheim Resort Suites 101 E Katella Ave	Upper Upscale	2019	352	-	5/27/2026	\$78,750,000	\$223,722
2	Hyatt House Irvine John Wayne Ai... 2320 Main St	Upscale	2017	149	Hyatt House	7/1/2026	\$38,000,000	\$255,034
3	Best Western Plus Marina Shores... 34280 Pacific Coast Hwy	Upper Midscale	1988	87	Best Western Plus	10/17/2025	\$17,500,000	\$201,149
4	Howard Johnson 7039 Orangethorpe Ave	Economy	1968	100	Howard Johnson	12/31/2025	\$13,000,000	\$130,000
5	Sonesta Select Huntington Beach... 9950 Slater Ave	Upscale	1991	150	Sonesta Select	10/29/2025	\$13,000,000	\$86,667
6	Hotel Joaquin 985 N Coast Hwy	Luxury	1970	22	-	3/12/2026	\$11,400,000	\$518,182
7	The Volare, an Ascend Collection... 111 Avenida de la Estrella	Upscale	1989	72	Ascend Collection	6/4/2026	\$11,200,000	\$155,556
8	Sonesta ES Suites Huntington Be... 9930 Slater Ave	Upper Midscale	1991	122	Sonesta ES Suites	10/29/2025	\$11,000,000	\$90,164
9	Budget Inn Anaheim 1042 W Ball Rd	Economy	1959	24	-	7/1/2026	\$6,705,013	\$279,376
10	Akua Motor Inn 1018 E Orangethorpe Ave	Economy	1961	63	-	2/27/2026	\$6,700,000	\$106,349
11	Sonesta Simply Suites East Irvine... 3 S Pointe Dr	Midscale	1997	122	Sonesta Simply Suites	11/13/2025	\$5,936,000	\$48,656
12	Sonesta Simply Suites Orange Co... 2600 Red Hill Ave	Midscale	2001	122	Sonesta Simply Suites	11/13/2025	\$5,775,000	\$47,336
13	Anaheim West Hotel 1030 W Ball Rd	Economy	1983	43	-	7/1/2026	\$5,394,987	\$125,465
14	14 West Laguna Beach Hotel 690 S Coast Hwy	Midscale	1973	14	-	7/1/2026	\$5,300,000	\$378,571
15	Sonesta Simply Suites Garden Gr... 12901 Garden Grove Blvd	Midscale	1998	133	Sonesta Simply Suites	11/13/2025	\$4,515,000	\$33,947
16	Angel Motel 2330 W Chapman Ave	Economy	1930	20	-	7/31/2025	\$2,900,000	\$145,000
17	Waldorf Astoria Monarch Beach R... 1 Monarch Beach Resort	Luxury	2001	240	Waldorf Astoria	10/17/2025	-	-

Orange County's economy remains diverse, with professional and business services and financial activities leading white-collar employment, heavily concentrated around Irvine. Major financial anchors such as PIMCO and Pacific Life remain headquartered in Newport Beach, while Hyundai Capital America is based in Irvine. Happy Money, once noted in Tustin, now lists corporate offices in Torrance/Costa Mesa.

Tourism remains a cornerstone of the local economy, with Disneyland Resort drawing close to 19 million visitors annually and underpinning a large share of hotel demand in Anaheim. Lodging tied to the resort area typically accounts for roughly half of the city's total hotel revenue, reinforcing Anaheim's role as Orange County's primary tourism hub. While park attendance and ticket pricing have trended higher, profitability across Disney's local operations has been pressured by rising operating costs and softer hotel occupancy. Labor remains the most significant factor. California's statewide minimum wage increased to \$16.50 on January 1, 2025, with higher thresholds in certain jurisdictions. In Anaheim, resort-area living-wage requirements pushed covered Disney wages to \$19.90 in 2024 and \$20.42 in 2025, following court rulings that upheld the ordinance's applicability.

The Walt Disney Company continues to be Orange County's largest private employer, with its local workforce exceeding 35,000 employees as of 2023. Longer term, the approved DisneylandForward initiative provides a major growth catalyst. The comprehensive rezoning and redevelopment plan received final City Council approval in May 2024 and is expected to unlock at least \$1.9 billion in investment over its first decade. City-commissioned studies project meaningful job creation

and incremental tax revenue as new attractions, hotels, dining venues, and retail concepts are integrated within the existing resort footprint.

Group demand is anchored by the Anaheim Convention Center (ACC), the largest exhibition facility on the West Coast, offering more than 1 million square feet of exhibit space. According to Visit Anaheim, approximately 160 conventions, meetings, and events were scheduled for 2025, generating an estimated \$1.4 billion in economic impact and roughly \$15 million in transient occupancy tax (TOT) revenue for the city. Looking ahead, the organization has already secured 142 events for 2026, projected to produce about \$1.74 billion in economic impact and nearly 600,000 hotel room nights. These figures underscore the continued importance of conventions in supporting weekday occupancy and stabilizing seasonal demand patterns across the Anaheim lodging market.

Air access remains a key supporting factor, though volumes have fluctuated in recent years. John Wayne Airport (SNA) handled a record 11.74 million passengers in 2023 before traffic declined to 11.09 million in 2024, reflecting airline capacity adjustments and softer leisure demand. Preliminary full-year indicators for 2025 suggest a modest rebound, with passenger volumes trending slightly above 2024 levels as service stabilizes and demand normalizes. The airport continues to offer strong domestic connectivity through 13 commercial carriers, reinforcing Orange County's accessibility for both leisure and business travelers.

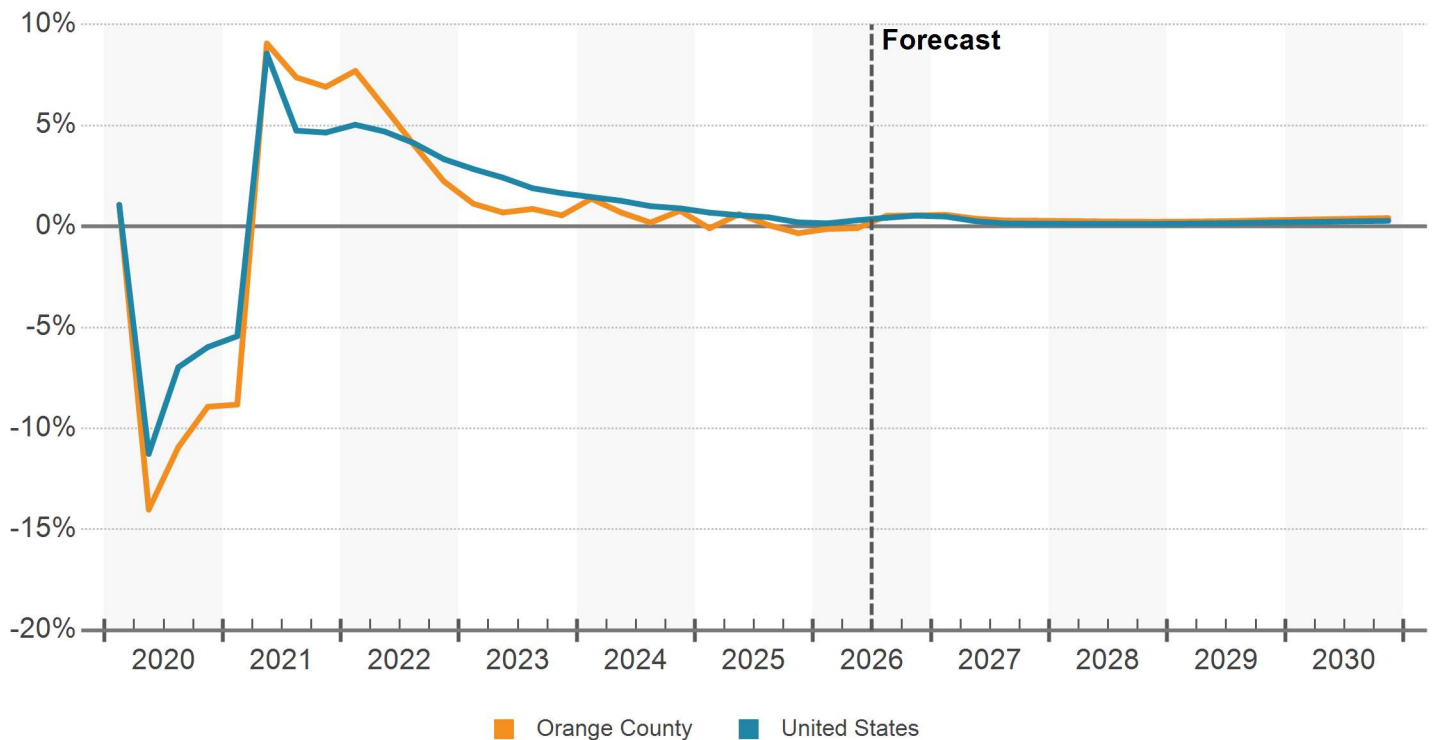
Orange County also benefits as a drive-to tourism market, surrounded by a drive market of 20 million people within a 90-mile radius.

ORANGE COUNTY EMPLOYMENT BY INDUSTRY IN THOUSANDS

Industry	CURRENT JOBS		CURRENT GROWTH		10 YR HISTORICAL		5 YR FORECAST	
	Jobs	LQ	Market	US	Market	US	Market	US
Manufacturing	149	1.1	-0.87%	-0.26%	-0.58%	0.23%	-0.36%	0.01%
Trade, Transportation, and Utilities	256	0.8	0.01%	-0.15%	-0.12%	0.57%	-0.09%	0.01%
Retail Trade	145	0.9	0.84%	0.14%	-0.50%	-0.21%	-0.11%	0.01%
Financial Activities	104	1.1	-0.81%	-1.00%	-1.30%	0.96%	-0.12%	0.07%
Government	148	0.6	-8.12%	-0.85%	-0.62%	0.50%	0.35%	0.17%
Natural Resources, Mining, and Construction	103	1.1	-1.69%	0.87%	0.60%	1.96%	0.28%	0.38%
Education and Health Services	297	1.0	3.99%	2.13%	3.76%	2.13%	0.76%	0.28%
Professional and Business Services	317	1.3	0.21%	0.23%	0.65%	1.09%	0.26%	0.27%
Information	22	0.7	-2.13%	-2.84%	-1.47%	-0.03%	-0.25%	-0.01%
Leisure and Hospitality	243	1.3	2.82%	1.44%	1.39%	0.89%	1.02%	0.63%
Other Services	57	0.9	1.27%	0.67%	1.20%	0.60%	0.51%	0.13%
Total Employment	1,695	1.0	0.12%	0.34%	0.71%	0.98%	0.34%	0.21%

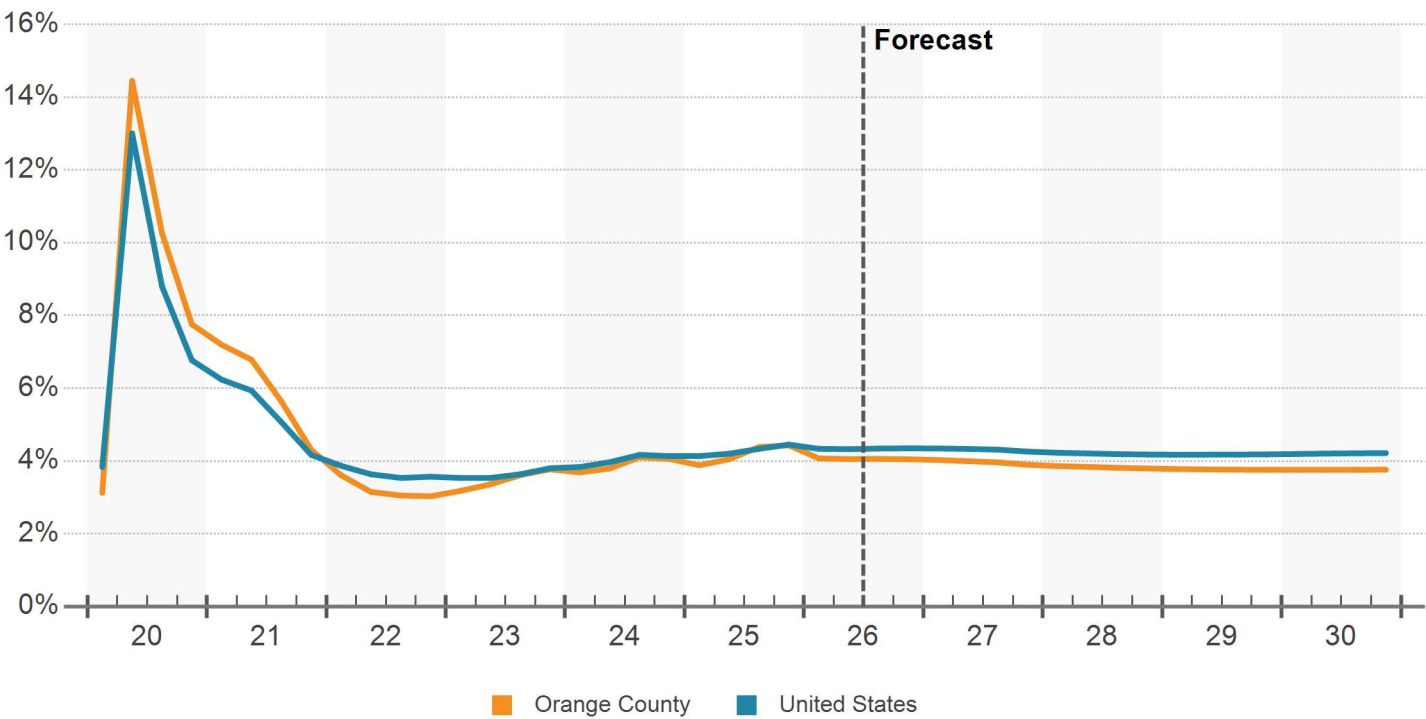
Source: Oxford Economics
LQ = Location Quotient

JOB GROWTH (YOY)

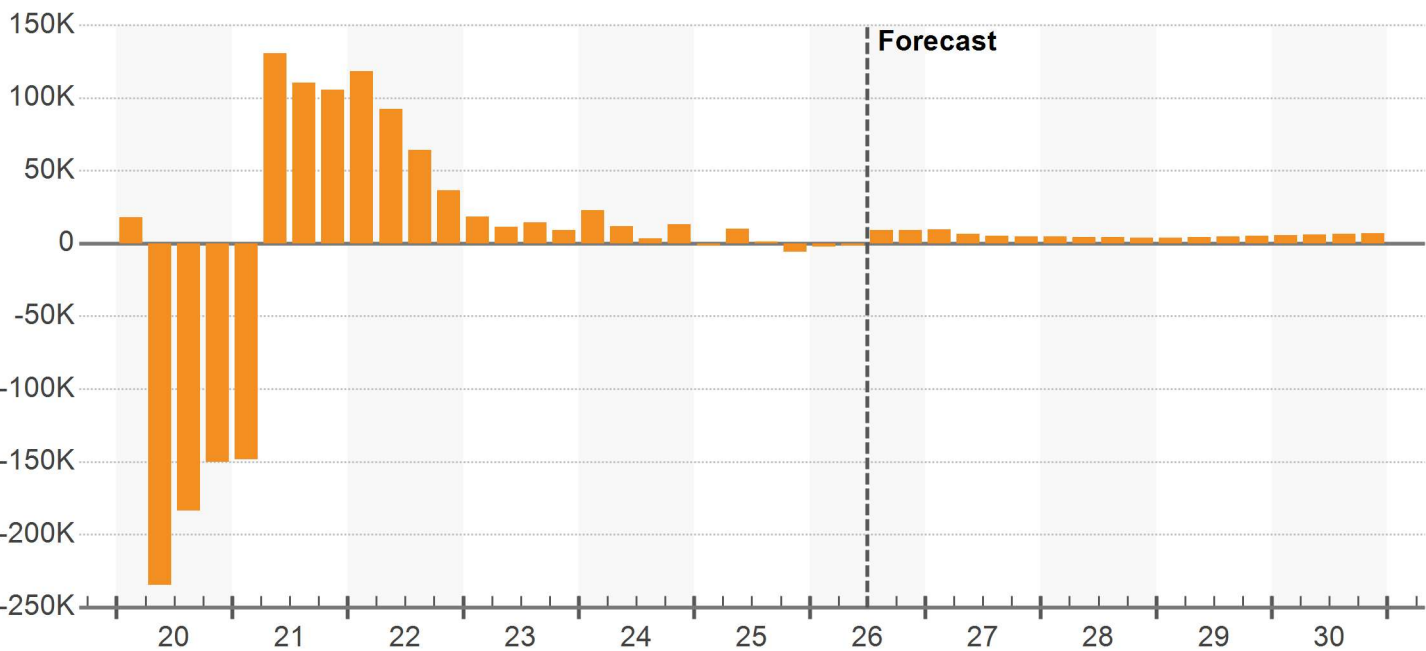


Source: Oxford Economics

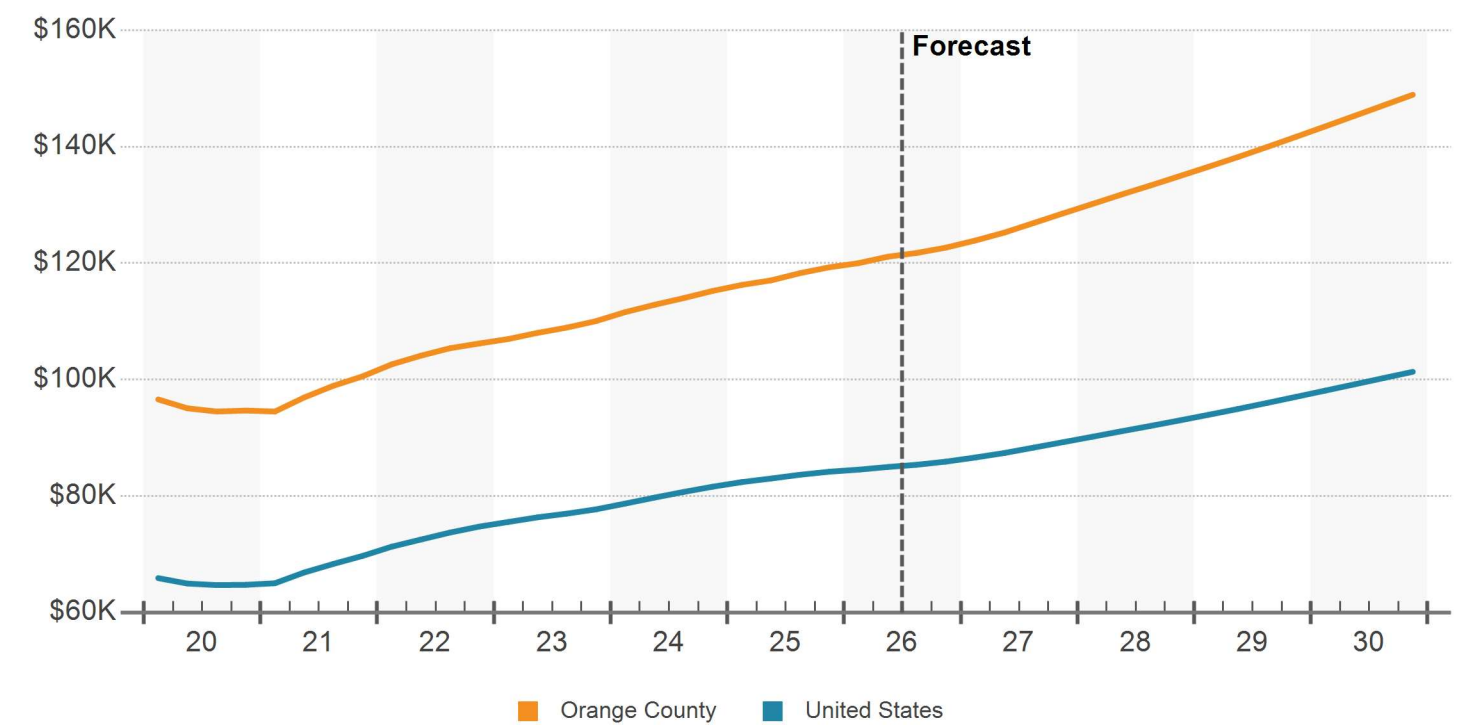
UNEMPLOYMENT RATE (%)



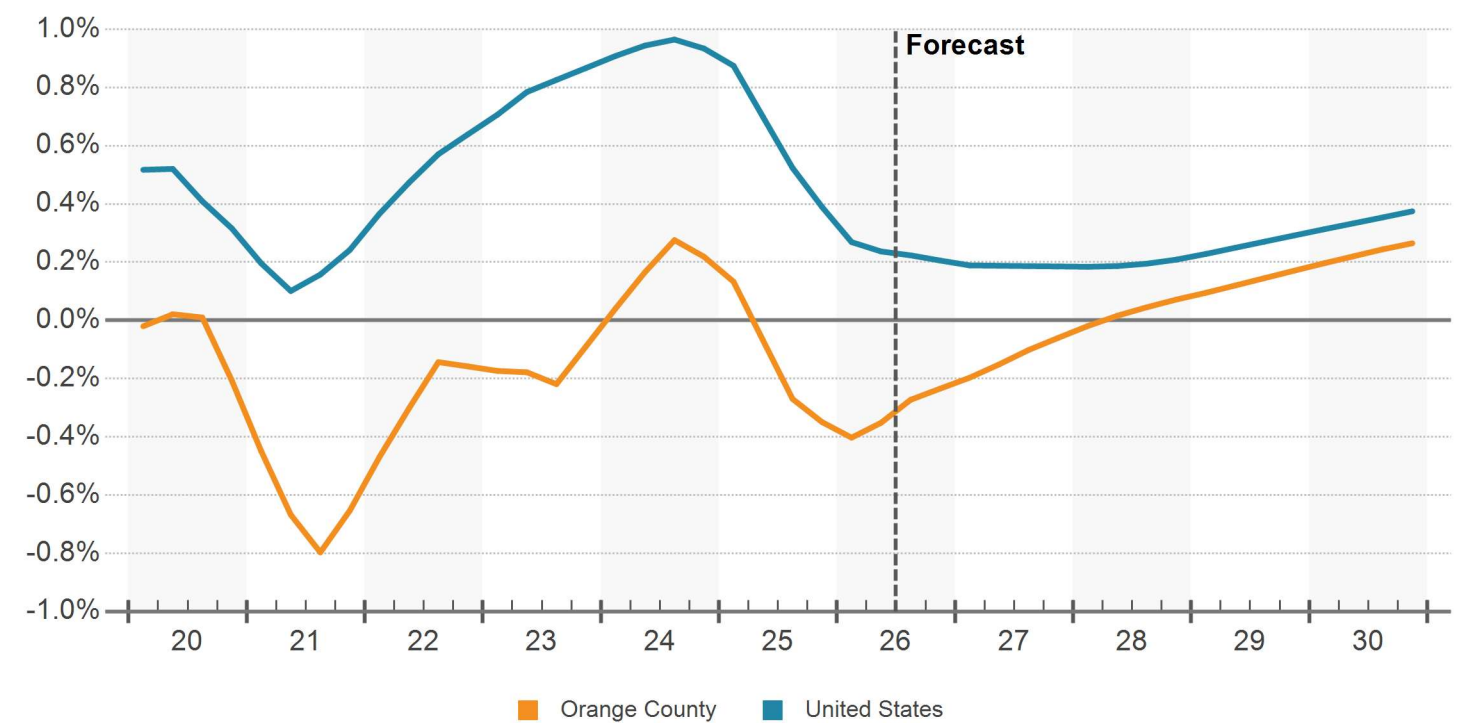
NET EMPLOYMENT CHANGE (YOY)



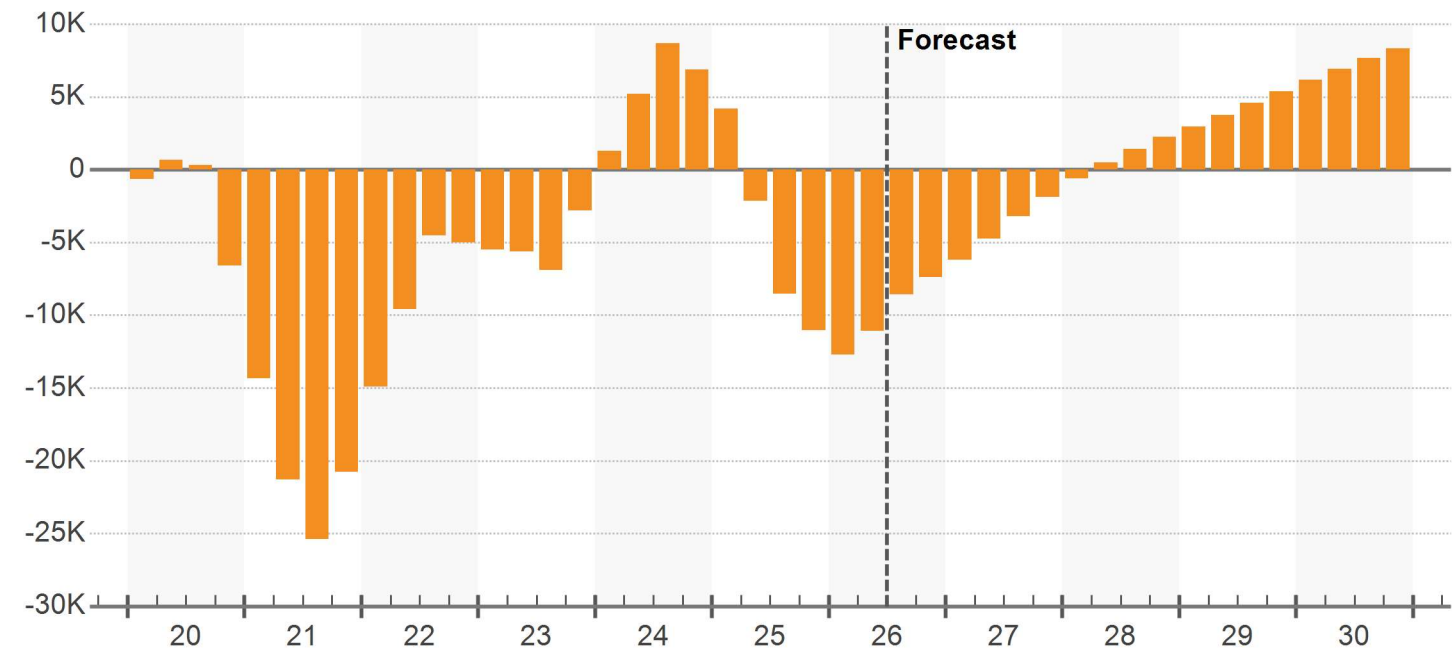
MEDIAN HOUSEHOLD INCOME



POPULATION GROWTH (YOY %)



NET POPULATION CHANGE (YOY)

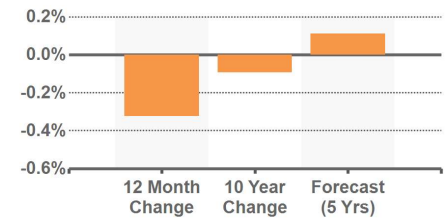


DEMOGRAPHIC TRENDS

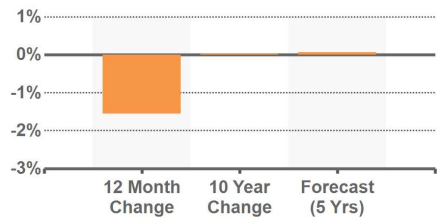
Demographic Category	Current Level		12 Month Change		10 Year Change		5 Year Forecast	
	Metro	US	Metro	US	Metro	US	Metro	US
Population	3,142,137	342,440,438	-0.3%	0.2%	-0.1%	0.6%	0.1%	0.3%
Households	1,095,217	134,488,266	0.1%	0.7%	0.4%	1.0%	0.4%	0.5%
Median Household Income	\$121,323	\$85,122	3.3%	2.3%	4.2%	4.1%	4.8%	4.1%
Labor Force	1,614,494	170,135,672	-1.6%	-0.3%	0%	0.7%	0.1%	0.1%
Unemployment	4.1%	4.3%	-0.1%	0.1%	0%	-0.1%	-0.1%	0%

Source: Oxford Economics

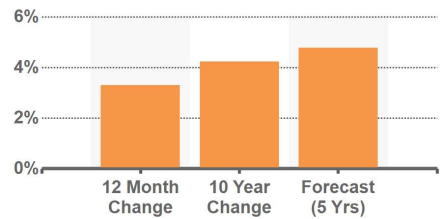
POPULATION GROWTH



LABOR FORCE GROWTH

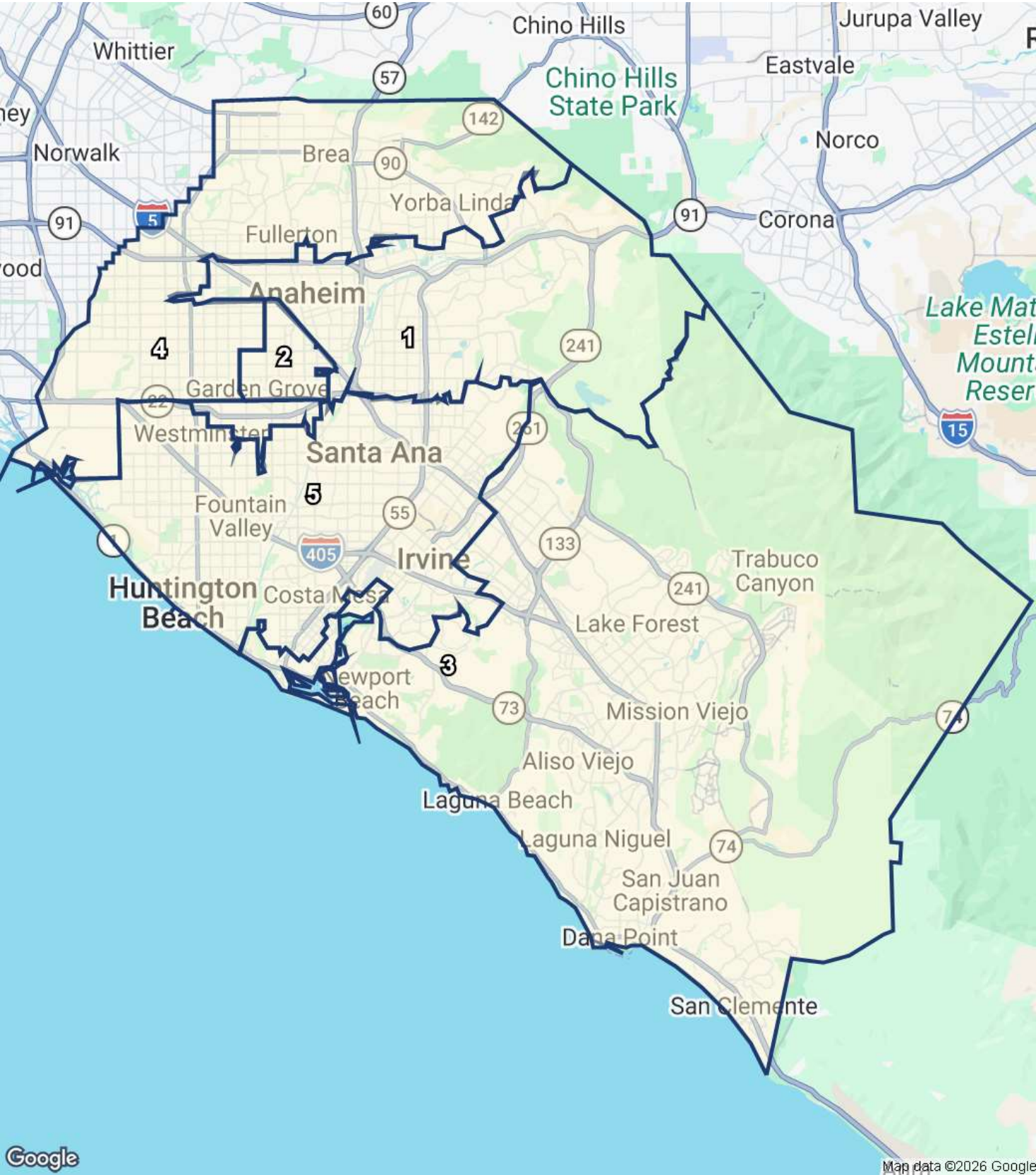


INCOME GROWTH



Source: Oxford Economics

ORANGE COUNTY SUBMARKETS



SUBMARKET INVENTORY

#	Submarket	Inventory				12 Month Deliveries				Under Construction			
		Bldgs	Rooms	% Market	Rank	Bldgs	Rooms	%	Rank	Bldgs	Rooms	% Market	Rank
1	Anaheim	69	5,446	9.0%	5	0	0	-	-	0	0	0%	5
2	Disneyland	96	21,331	35.4%	1	0	0	-	-	3	581	2.7%	1
3	Newport Beach/Dana Point	113	11,655	19.3%	3	0	0	-	-	0	0	0%	3
4	Orange County Northwest/F...	88	7,637	12.7%	4	0	0	-	-	0	0	0%	4
5	Santa Ana/Costa Mesa	116	14,209	23.6%	2	0	0	-	-	1	172	1.2%	2

SUBMARKET PERFORMANCE

#	Submarket	12 Mo Occupancy			12 Mo ADR			12 Mo RevPAR		
		Rank	%	Year Growth	Rank	Per Room	Year Growth	Rank	Per Room	Year Growth
1	Anaheim	3	71.7%	3.7%	5	\$129.41	1.5%	4	\$92.74	5.3%
2	Disneyland	1	78.1%	3.1%	2	\$253.05	4.4%	2	\$197.50	7.6%
3	Newport Beach/Dana Point	5	70.5%	0.8%	1	\$295.38	5.2%	1	\$208.13	6.0%
4	Orange County Northwest/F...	4	70.8%	-1.4%	4	\$130.67	1.8%	5	\$92.49	0.4%
5	Santa Ana/Costa Mesa	2	72.4%	2.5%	3	\$171.98	2.4%	3	\$124.55	5.0%

OVERALL SUPPLY & DEMAND

Year	Supply			Demand		
	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	22,283,355	0	0%	16,909,414	4,244	0%
2029	22,283,355	89,053	0.4%	16,905,170	183,893	1.1%
2028	22,194,302	78,080	0.4%	16,721,277	218,208	1.3%
2027	22,116,222	119,466	0.5%	16,503,068	99,767	0.6%
2026	21,996,756	(101,439)	-0.5%	16,403,301	427,966	2.7%
YTD	10,901,282	(72,642)	-0.7%	8,045,919	269,870	3.5%
2025	22,098,195	8,930	0%	15,975,335	145,100	0.9%
2024	22,089,265	187,533	0.9%	15,830,235	144,629	0.9%
2023	21,901,732	2,931	0%	15,685,606	308,504	2.0%
2022	21,898,801	1,115,689	5.4%	15,377,102	3,512,995	29.6%
2021	20,783,112	2,236,316	12.1%	11,864,107	3,706,733	45.4%
2020	18,546,796	(2,854,202)	-13.3%	8,157,374	(8,411,557)	-50.8%
2019	21,400,998	(1,339)	0%	16,568,931	129,626	0.8%
2018	21,402,337	264,780	1.3%	16,439,305	169,309	1.0%
2017	21,137,557	244,554	1.2%	16,269,996	136,921	0.8%
2016	20,893,003	515,469	2.5%	16,133,075	338,496	2.1%

LUXURY & UPPER UPSCALE SUPPLY & DEMAND

Year	Supply			Demand		
	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	8,581,208	0	0%	6,721,209	41,849	0.6%
2029	8,581,208	89,053	1.0%	6,679,360	104,708	1.6%
2028	8,492,155	52,274	0.6%	6,574,652	191,510	3.0%
2027	8,439,881	55,176	0.7%	6,383,142	79,366	1.3%
2026	8,384,705	18,161	0.2%	6,303,776	235,663	3.9%
YTD	4,153,669	14,793	0.4%	3,087,842	178,549	6.1%
2025	8,366,544	66,727	0.8%	6,068,113	54,946	0.9%
2024	8,299,817	193,918	2.4%	6,013,167	21,770	0.4%
2023	8,105,899	61,579	0.8%	5,991,397	269,899	4.7%
2022	8,044,320	827,532	11.5%	5,721,498	1,981,903	53.0%
2021	7,216,788	1,461,530	25.4%	3,739,595	1,571,120	72.5%
2020	5,755,258	(1,953,550)	-25.3%	2,168,475	(3,951,813)	-64.6%
2019	7,708,808	33,115	0.4%	6,120,288	100,909	1.7%
2018	7,675,693	186,617	2.5%	6,019,379	146,316	2.5%
2017	7,489,076	107,520	1.5%	5,873,063	118,577	2.1%
2016	7,381,556	297,062	4.2%	5,754,486	153,758	2.7%

UPSCALE & UPPER MIDSACLE SUPPLY & DEMAND

Year	Supply			Demand		
	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	8,691,696	0	0%	6,576,080	(23,651)	-0.4%
2029	8,691,696	0	0%	6,599,732	51,610	0.8%
2028	8,691,696	25,806	0.3%	6,548,122	16,008	0.2%
2027	8,665,890	64,684	0.8%	6,532,114	16,852	0.3%
2026	8,601,206	14,541	0.2%	6,515,262	153,703	2.4%
YTD	4,260,014	3,543	0.1%	3,213,480	98,390	3.2%
2025	8,586,665	44,580	0.5%	6,361,559	91,774	1.5%
2024	8,542,085	55,257	0.7%	6,269,785	29,213	0.5%
2023	8,486,828	40,862	0.5%	6,240,572	107,509	1.8%
2022	8,445,966	333,695	4.1%	6,133,063	1,380,289	29.0%
2021	8,112,271	815,376	11.2%	4,752,774	1,811,764	61.6%
2020	7,296,895	(691,413)	-8.7%	2,941,010	(3,359,009)	-53.3%
2019	7,988,308	76,687	1.0%	6,300,019	32,045	0.5%
2018	7,911,621	173,750	2.2%	6,267,974	129,635	2.1%
2017	7,737,871	318,313	4.3%	6,138,339	256,881	4.4%
2016	7,419,558	311,055	4.4%	5,881,458	257,620	4.6%

MIDSCALE & ECONOMY SUPPLY & DEMAND

Year	Supply			Demand		
	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	5,012,463	0	0%	3,613,614	(14,035)	-0.4%
2029	5,012,463	0	0%	3,627,649	27,607	0.8%
2028	5,012,463	0	0%	3,600,041	10,491	0.3%
2027	5,012,463	576	0%	3,589,551	4,378	0.1%
2026	5,011,887	(133,099)	-2.6%	3,585,173	39,510	1.1%
YTD	2,487,599	(90,978)	-3.5%	1,744,597	(7,069)	-0.4%
2025	5,144,986	(102,377)	-2.0%	3,545,663	(1,620)	0%
2024	5,247,363	(61,642)	-1.2%	3,547,283	93,646	2.7%
2023	5,309,005	(99,510)	-1.8%	3,453,637	(68,904)	-2.0%
2022	5,408,515	(45,538)	-0.8%	3,522,541	150,803	4.5%
2021	5,454,053	(40,590)	-0.7%	3,371,738	323,850	10.6%
2020	5,494,643	(209,239)	-3.7%	3,047,888	(1,100,736)	-26.5%
2019	5,703,882	(111,141)	-1.9%	4,148,624	(3,328)	-0.1%
2018	5,815,023	(95,587)	-1.6%	4,151,952	(106,642)	-2.5%
2017	5,910,610	(181,279)	-3.0%	4,258,594	(238,538)	-5.3%
2016	6,091,889	(92,648)	-1.5%	4,497,132	(72,881)	-1.6%

OVERALL PERFORMANCE

Year	Occupancy		ADR		RevPAR	
	Percent	% Change	Per Room	% Change	Per Room	% Change
2030	75.9%	0%	\$232.99	1.6%	\$176.80	1.6%
2029	75.9%	0.7%	\$229.43	1.7%	\$174.06	2.5%
2028	75.3%	1.0%	\$225.49	2.4%	\$169.88	3.4%
2027	74.6%	0.1%	\$220.17	1.1%	\$164.29	1.1%
2026	74.6%	3.2%	\$217.81	3.9%	\$162.42	7.2%
YTD	73.8%	4.2%	\$216	6.6%	\$159.43	11.0%
2025	72.3%	0.9%	\$209.68	0.9%	\$151.58	1.8%
2024	71.7%	0.1%	\$207.82	-1.6%	\$148.93	-1.5%
2023	71.6%	2.0%	\$211.11	4.4%	\$151.19	6.4%
2022	70.2%	23.0%	\$202.31	19.3%	\$142.06	46.7%
2021	57.1%	29.8%	\$169.58	24.9%	\$96.81	62.1%
2020	44.0%	-43.2%	\$135.75	-17.9%	\$59.71	-53.4%
2019	77.4%	0.8%	\$165.36	2.3%	\$128.02	3.1%
2018	76.8%	-0.2%	\$161.68	3.4%	\$124.19	3.1%
2017	77.0%	-0.3%	\$156.42	3.8%	\$120.40	3.5%
2016	77.2%	-0.4%	\$150.65	4.5%	\$116.33	4.1%

LUXURY & UPPER UPSCALE PERFORMANCE

Year	Occupancy		ADR		RevPAR	
	Percent	% Change	Per Room	% Change	Per Room	% Change
2030	78.3%	0.6%	\$336.60	1.2%	\$263.64	1.9%
2029	77.8%	0.5%	\$332.52	1.6%	\$258.82	2.2%
2028	77.4%	2.4%	\$327.16	1.9%	\$253.29	4.3%
2027	75.6%	0.6%	\$320.98	0.6%	\$242.76	1.2%
2026	75.2%	3.7%	\$318.98	3.7%	\$239.81	7.5%
YTD	74.3%	5.8%	\$315.31	6.9%	\$234.40	13.0%
2025	72.5%	0.1%	\$307.60	1.6%	\$223.10	1.7%
2024	72.4%	-2.0%	\$302.78	-0.8%	\$219.36	-2.8%
2023	73.9%	3.9%	\$305.19	3.5%	\$225.58	7.5%
2022	71.1%	37.3%	\$294.97	4.8%	\$209.80	43.8%
2021	51.8%	37.5%	\$281.49	17.3%	\$145.86	61.3%
2020	37.7%	-52.5%	\$239.98	1.7%	\$90.42	-51.8%
2019	79.4%	1.2%	\$236.08	2.3%	\$187.44	3.6%
2018	78.4%	0%	\$230.71	3.9%	\$180.93	3.9%
2017	78.4%	0.6%	\$222.09	2.2%	\$174.17	2.9%
2016	78.0%	-1.4%	\$217.21	2.8%	\$169.33	1.3%

UPSCALE & UPPER MIDSACLE PERFORMANCE

Year	Occupancy		ADR		RevPAR	
	Percent	% Change	Per Room	% Change	Per Room	% Change
2030	75.7%	-0.4%	\$195.25	1.6%	\$147.72	1.2%
2029	75.9%	0.8%	\$192.22	1.6%	\$145.96	2.4%
2028	75.3%	-0.1%	\$189.23	2.2%	\$142.56	2.1%
2027	75.4%	-0.5%	\$185.20	1.5%	\$139.60	1.0%
2026	75.7%	2.2%	\$182.54	3.4%	\$138.27	5.8%
YTD	75.4%	3.1%	\$181.93	4.6%	\$137.24	7.8%
2025	74.1%	0.9%	\$176.46	0.8%	\$130.73	1.8%
2024	73.4%	-0.2%	\$175.05	-1.0%	\$128.48	-1.2%
2023	73.5%	1.3%	\$176.83	3.7%	\$130.02	5.1%
2022	72.6%	23.9%	\$170.44	23.0%	\$123.76	52.5%
2021	58.6%	45.4%	\$138.53	14.1%	\$81.16	65.8%
2020	40.3%	-48.9%	\$121.42	-17.8%	\$48.94	-58.0%
2019	78.9%	-0.5%	\$147.79	2.1%	\$116.56	1.6%
2018	79.2%	-0.1%	\$144.78	1.4%	\$114.70	1.3%
2017	79.3%	0.1%	\$142.72	4.2%	\$113.22	4.3%
2016	79.3%	0.2%	\$136.91	4.7%	\$108.53	5.0%

MIDSCALE & ECONOMY PERFORMANCE

Year	Occupancy		ADR		RevPAR	
	Percent	% Change	Per Room	% Change	Per Room	% Change
2030	72.1%	-0.4%	\$108.77	1.5%	\$78.42	1.2%
2029	72.4%	0.8%	\$107.11	1.5%	\$77.52	2.2%
2028	71.8%	0.3%	\$105.57	1.2%	\$75.82	1.5%
2027	71.6%	0.1%	\$104.33	0.3%	\$74.71	0.4%
2026	71.5%	3.8%	\$103.98	2.2%	\$74.38	6.1%
YTD	70.1%	3.2%	\$103	2.7%	\$72.23	6.0%
2025	68.9%	1.9%	\$101.71	-2.9%	\$70.09	-1.0%
2024	67.6%	3.9%	\$104.77	-4.6%	\$70.83	-0.9%
2023	65.1%	-0.1%	\$109.85	2.4%	\$71.46	2.3%
2022	65.1%	5.4%	\$107.29	20.2%	\$69.88	26.7%
2021	61.8%	11.4%	\$89.24	18.3%	\$55.17	31.9%
2020	55.5%	-23.7%	\$75.43	-14.0%	\$41.84	-34.4%
2019	72.7%	1.9%	\$87.69	0.6%	\$63.78	2.5%
2018	71.4%	-0.9%	\$87.13	1.8%	\$62.21	0.9%
2017	72.0%	-2.4%	\$85.60	2.6%	\$61.68	0.1%
2016	73.8%	-0.1%	\$83.46	6.3%	\$61.61	6.2%

OVERALL SALES

Year	Completed Transactions (1)						Market Pricing Trends (2)		
	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	\$402,044	327	7.5%
2029	-	-	-	-	-	-	\$396,326	322	7.5%
2028	-	-	-	-	-	-	\$391,121	318	7.5%
2027	-	-	-	-	-	-	\$381,526	310	7.5%
2026	-	-	-	-	-	-	\$373,052	303	7.6%
YTD	9	\$168.8M	1.3%	\$18,750,000	\$224,104	5.0%	\$370,391	301	7.6%
2025	14	\$123.4M	2.0%	\$9,492,385	\$104,577	-	\$368,174	299	7.5%
2024	14	\$571.9M	2.6%	\$43,995,643	\$354,804	3.0%	\$358,852	292	7.4%
2023	15	\$242.2M	2.0%	\$17,300,214	\$201,333	7.3%	\$311,623	253	7.3%
2022	37	\$1.4B	6.7%	\$42,858,263	\$347,551	4.4%	\$272,237	221	7.1%
2021	47	\$599.1M	6.2%	\$17,116,965	\$158,827	5.8%	\$243,258	198	7.1%
2020	17	\$429.6M	4.0%	\$25,273,265	\$176,446	7.3%	\$245,361	200	7.6%
2019	21	\$914.9M	4.2%	\$57,180,156	\$369,649	7.0%	\$264,756	215	7.6%
2018	12	\$247M	2.1%	\$20,581,250	\$200,142	8.9%	\$271,252	221	7.5%
2017	31	\$558.2M	4.4%	\$26,579,719	\$218,293	6.2%	\$257,651	210	7.5%
2016	22	\$784.6M	3.3%	\$41,295,447	\$414,721	6.7%	\$239,258	195	7.6%

(1) Completed transaction data is based on actual arms-length sales transactions and levels are dependent on the mix of what happened to sell in the period.

(2) Market price trends data is based on the estimated price movement of all properties in the market, informed by actual transactions that have occurred. The price index is not smoothed.

LUXURY & UPPER UPSCALE SALES

Year	Completed Transactions (1)						Market Pricing Trends (2)		
	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	\$663,355	340	6.9%
2029	-	-	-	-	-	-	\$653,921	335	6.9%
2028	-	-	-	-	-	-	\$645,333	331	6.9%
2027	-	-	-	-	-	-	\$629,501	323	6.9%
2026	-	-	-	-	-	-	\$615,520	316	6.9%
YTD	2	\$90.2M	1.6%	\$45,075,000	\$241,043	-	\$609,961	313	6.9%
2025	1	\$0	0%	-	-	-	\$604,184	310	6.9%
2024	4	\$136.7M	1.9%	\$45,578,167	\$315,056	3.0%	\$591,466	303	6.8%
2023	1	\$0	0%	-	-	-	\$517,623	266	6.7%
2022	6	\$973.7M	5.0%	\$162,287,028	\$850,866	-	\$447,261	229	6.6%
2021	7	\$129.6M	2.6%	\$18,516,786	\$216,390	-	\$390,157	200	6.7%
2020	3	\$274.4M	4.6%	\$91,466,667	\$263,593	-	\$383,591	197	7.1%
2019	5	\$760.8M	6.5%	\$190,200,625	\$542,268	8.8%	\$410,805	211	7.2%
2018	3	\$123.8M	2.3%	\$41,266,667	\$259,539	9.5%	\$427,095	219	7.1%
2017	4	\$245.4M	3.9%	\$61,356,250	\$304,876	5.7%	\$406,003	208	7.1%
2016	5	\$606.3M	4.7%	\$151,575,000	\$623,765	8.4%	\$379,597	195	7.1%

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UPSCALE & UPPER MIDSACLE SALES

Year	Completed Transactions (1)						Market Pricing Trends (2)		
	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	\$271,921	312	7.7%
2029	-	-	-	-	-	-	\$268,054	307	7.7%
2028	-	-	-	-	-	-	\$264,533	303	7.7%
2027	-	-	-	-	-	-	\$258,044	296	7.7%
2026	-	-	-	-	-	-	\$252,312	289	7.7%
YTD	2	\$49.2M	0.9%	\$24,600,000	\$222,624	5.0%	\$250,183	287	7.8%
2025	4	\$55.3M	2.0%	\$13,812,500	\$119,589	-	\$249,420	286	7.7%
2024	7	\$400.5M	4.1%	\$57,220,000	\$415,498	-	\$240,873	276	7.6%
2023	5	\$159.6M	2.8%	\$31,912,000	\$241,758	6.7%	\$205,384	235	7.5%
2022	16	\$275M	6.7%	\$22,916,708	\$177,420	-	\$183,523	210	7.3%
2021	12	\$327M	8.0%	\$32,703,561	\$177,833	5.8%	\$169,935	195	7.3%
2020	7	\$91.8M	3.9%	\$13,111,071	\$104,293	7.3%	\$179,368	205	7.7%
2019	4	\$78.3M	1.5%	\$26,093,333	\$233,672	7.5%	\$195,623	224	7.7%
2018	3	\$56.4M	1.2%	\$18,808,333	\$226,606	-	\$196,555	225	7.5%
2017	14	\$225.8M	4.6%	\$32,259,604	\$227,868	5.6%	\$186,508	214	7.6%
2016	5	\$119.1M	2.7%	\$23,810,000	\$209,595	-	\$171,833	197	7.7%

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MIDSCALE & ECONOMY SALES

Year	Completed Transactions (1)						Market Pricing Trends (2)		
	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	\$179,204	294	8.3%
2029	-	-	-	-	-	-	\$176,655	290	8.3%
2028	-	-	-	-	-	-	\$174,335	286	8.3%
2027	-	-	-	-	-	-	\$170,058	279	8.3%
2026	-	-	-	-	-	-	\$166,281	273	8.3%
YTD	5	\$29.4M	1.2%	\$5,880,000	\$186,076	-	\$166,021	273	8.3%
2025	9	\$68.2M	5.1%	\$7,572,333	\$94,918	-	\$167,424	275	8.2%
2024	3	\$34.7M	1.5%	\$11,556,284	\$162,004	-	\$162,621	267	8.1%
2023	9	\$82.6M	3.7%	\$9,182,556	\$152,197	7.6%	\$140,915	232	8.0%
2022	15	\$165.6M	9.3%	\$11,040,000	\$120,436	4.4%	\$124,491	205	7.8%
2021	28	\$142.4M	8.8%	\$7,913,369	\$106,777	-	\$117,269	193	7.7%
2020	7	\$63.5M	3.3%	\$9,066,857	\$123,479	-	\$121,558	200	8.1%
2019	12	\$75.8M	4.7%	\$8,422,222	\$102,849	6.2%	\$132,912	218	8.2%
2018	6	\$66.8M	3.2%	\$11,125,000	\$131,398	7.8%	\$132,190	217	8.0%
2017	13	\$86.9M	4.7%	\$8,693,186	\$114,234	6.9%	\$125,336	206	8.1%
2016	12	\$59.3M	2.1%	\$5,926,350	\$168,406	5.9%	\$114,307	188	8.3%

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DELIVERIES & UNDER CONSTRUCTION

Year	Inventory			Deliveries		Net Deliveries		Under Construction	
	Bldgs	Rooms	% Change	Bldgs	Rooms	Bldgs	Rooms	Bldgs	Rooms
YTD	481	60,170	-0.5%	0	0	(3)	(127)	4	753
2025	486	60,471	-0.6%	1	91	(4)	(437)	2	543
2024	491	60,853	0.4%	2	299	0	234	2	462
2023	490	60,610	-0.3%	2	474	(2)	276	3	390
2022	492	60,779	-0.8%	2	262	(3)	(208)	4	744
2021	495	61,275	1.3%	6	725	(3)	(159)	4	736
2020	492	60,501	2.4%	8	2,023	7	1,999	8	973
2019	485	59,093	0.9%	3	632	0	535	15	2,378
2018	485	58,555	0%	2	299	(1)	10	9	1,684
2017	486	58,531	1.3%	8	1,141	6	963	5	1,041
2016	480	57,781	2.2%	8	1,829	4	1,362	9	1,363